

Smartworks Coworking (SMARTWORKS)

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Call: Aug 2025

Smartworks Coworking Spaces Limited

(Formerly known as Smartworks Coworking Spaces Private Limited)

Regd. Office: Unit No. 305 – 310, Plot No. 9,10, & 11, Vardhman Trade Centre, Nehru Place, South Delhi – 110 019 .

Corporate Office: Golf View Tower, Tower -B Sector 42, DLF QE, Gurgaon, Haryana -122002

Phone No: 0124 -6919 400

CIN: L74900DL2015PLC310656

Date: 19th August , 2025

To,

National Stock Exchange of India Limited ("NSE")

Listing Department

Exchange Plaza, C -1 Block G, Bandra Kurla Complex

Bandra [E], Mumbai – 400051

To,

BSE Limited ("BSE")

Listing Department

Corporate Relationship Department

Phiroze Jeejeebhoy Towers,

Dalal Street, Fort, Mumbai - 400 001

NSE Scrip Symbol: SMARTWORKS BSE Scrip Code: 544447

ISIN: INE0NAZ01010 ISIN : INE0NAZ01010

Subject: Disclosure under Regulation 30 read with Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript

Dear Sir/Ma'am,

As per Regulation 30 read with Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 , Transcript of the discussion on the Unaudited Financial Results (Standalone and Consolidated) of the Company for the quarter ended June 30, 2025, at the analyst meet held on August 12, 2025, is available on the website of the Company at <https://www.smartworksoffice.com/investors/> .

The analyst meet, conducted through Audio means at 05:30 P.M. and concluded at 06:30 P.M. (IST) on August 12, 2025.

This is for your information and record s.

Thanking You,

For Smartworks Coworking Spaces Limited

(Formerly known as Smartworks Coworking Spaces Private Limited)

Punam Dargar

Company Secretary & Compliance Officer

Mem. No.: A56987

Address: Unit No. 305 -310, Plot No 9, 10 & 11 Vardhman Trade Centre

Nehru Place, South Delhi, Delhi, India, 110019

Encl.: As above

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"Smartworks Coworking Spaces Limited

Q1 FY '26 Earnings Conference Call "

August 12, 2025

MANAGEMENT : MR. NEETISH SARDA – MANAGING DIRECTOR –
SMARTWORKS COWORKING SPACES LIMITED

MR. HARSH BINANI – EXECUTIVE DIRECTOR –
SMARTWORKS COWORKING SPACES LIMITED
MR. SAHIL JAIN – CHIEF FINANCIAL OFFICER –
SMARTWORKS COWORKING SPACES LIMITED
MR. PRATIK AGARWAL – CHIEF BUSINESS OFFICER –
SMARTWORKS COWORKING SPACES LIMITED
MR. ANIRUDH TAPURIAH – CHIEF STRATEGY AND
INVESTOR RELATIONS – SMARTWORKS COWORKING
SPACES LIMITED

MODERATOR : MR. MOHIT AGRAWAL – IIFL CAPITAL SERVICES

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Moderator: Ladies and gentlemen, good day and welcome to Smart works Co working Q1 FY '26 Earnings Conference Call hosted by IIFL Capital Services. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Mohit Agrawal from IIFL Capital Services. Thank you and over to you, sir.

Mohit Agrawal: Thank you and good evening, everyone. On behalf of IIFL Capital, I'd like to welcome everyone to the maiden earnings conference call for Smart works Co working Spaces. From the management, we have with us Mr. Neetish Sarda, Managing Director, Mr. Harsh Binani, Executive Director, Mr. Sahil Jain, Chief Financial Officer, Mr. Pratik Agarwal, Chief Business Officer, and Mr. Anirudh Tapuriah, Chief of Strategy and Investor Relations.

I'd now like to hand over the call to the management for their opening remarks, followed by a Q&A. Over to you, Neetish.

Neetish Sarda: Good evening, everyone. Thank you for joining us for our first earnings call as a listed company. On behalf of Smartworks, we extend our sincerest gratitude to our investors, bankers, partners, and shareholders for their invaluable support throughout our IPO. The confidence you have placed in our company, our leadership, and us as founders has been instrumental in reaching this significant milestone.

The oversubscription of our IPO by nearly 14x is a powerful affirmation of our vision and future growth, and we deeply appreciate this trust. As this is our first earnings call after listing, I will begin by sharing more about Smartworks and the industry we operate in. Following that, we will outline our growth strategy and discuss our Q1 FY '26 performance.

Smartworks is India's largest managed office platform by total square feet under management. In just 9 years, which includes more than 2 years of COVID, we have expanded to almost 12 million square feet of space, translating to over 275,000 work seats across 56 centres in 15 cities. For the first quarter of FY '26, our revenue stands at INR 3,792 million, a 21% jump year-on-year. Our reported EBITDA and annualized ROCE stands at INR 2,410 million and 58%, respectively.

Our normalized numbers basis non-GAAP measures stood at an EBITDA of INR 607 million, a 109% jump year-on-year, while having very healthy cash flows from operations of INR 855 million, a 71% jump year-on-year, all of this with an annualized ROCE of 13%. We have only raised INR 5,058 million of equity before the IPO.

Before talking about our numbers, let me talk about our journey. From the very beginning, our vision and conviction was to create office spaces for the new age workforce. During our time in the USA, Harsh and I witnessed first-hand the campuses of large multinational companies. We

15,558 Million was mentioned in error. Figure corrected above.

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were truly captivated by the energy and vibrancy of the space and happiness of their employees. This is what inspired us to create Smartworks.

While we started Smartworks as a coworking space, we evolved fairly early into a managed office platform. We saw a very distinct and compelling opportunity in India. While more than 70% of India's supply was from standalone non-institutional landlords, majority of the demand actually came from mid to large enterprise clients. This gap led us to pioneer the managed office

platform and yes, we created this category.

In our platform, we take large bare -shell buildings instead of just floors on lease f

rom landlords

and transform them into Smartworks branded campuses with all aspirational amenities like cafes, creches, gyms, indoor and outdoor sports zones and much more. Our focus is on mid-to-large enterprises with more than 85% of our revenue coming from enterprise clients. Majority of these clients commit to more than 300 seats with Smartworks .

Before talking more about Smartworks , let me take a moment to talk about the industry.

According to market estimates, India's commercial real estate is currently around 1 billion square feet of office space out of which 800 million square feet was only added in the last 20 years at a CAGR of 8.6%. The overall market is projected to grow even faster, adding the next billion square feet in just 10 -15 years.

Morgan Stanley reports that India is set to become the office to the world with increasing GCCs and international companies establishing a presence in India. Flexible workspace is the fastest growing segment within the commercial real estate. In a short span of 10 years, it has grown to over 100 million square feet and is projected to further grow at a CAGR of 18 % to 20%.

This rapid growth of the entire segment reflects a fundamental shift in customers' preference for flexible workspace as the future of offices. Smartworks has outpaced the segment and grown 1.5x faster at a CAGR of 38% in the last 3 years. Just in the last 3 months, we have added more than 1.1 million square feet of space. Our platform seamlessly integrates all stakeholders whether it is our landlords, clients, their employees or our vendor partners.

Our landlords benefit from guaranteed rent which makes them increase their exposure with us.

25% of our centres are from developers or landlords who have leased multiple buildings to Smartworks . With majority of our campus from non -institutional landlords, we have now broken barriers by working with large institutional developers such as DLF, Raheja and Tata Realty.

For our 700 plus customers, they get flexible, hassle -free office customized to their needs and delivered in less than 2 months across India at a value -centric price. With the likes of Google, Ernst & Young, FedEx, Concentrix and Persistent Systems as some of our customers, not only have our clients moved into Smartworks campuses , but also expanded with us. A Fortune 500 company that started with just 158 seats in 2023 with Smartworks has expanded to almost 2 ,000 seats by 2025, moving a significant portion of their India RE portfolio into the Smartworks ecosystem.

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Another example is of a company that started with us in 2022 with just 380 seats and within just 3 years has expanded 10x to 3 ,800 seats across six cities. Today, 30% of our revenue comes from multi -city clients who are expanding within the Smartworks ecosystem.

For the 150,000 employees of our clients, they get access to all aspirational amenities within our campuses. And for our rate -contracted vendors, they get regular work throughout the year. These advantages for all our stakeholders ha ve created a flywheel effect.

Now imagine the power of our platform. We are talking about long -term annuity -like contracts with highly predictable cash flows from Fortune 500 companies, global MNCs, Indian conglomerates and well -funded startups. These aren't just one -off deals, they are stable recurring revenue streams. Think of it like a REIT , but with a host of office services such as design, fit -out, day -to-day operations and all amenities included, achieved through an asset -light and capital -efficient model. All of this has enabled us to scale significantly. Our unique ability to take large campuses, which continues to grow in size, allows us to add 2 million to 3 million square feet of space every year by only taking 7 to 8 buildings and turning them into Smartworks campuses.

Our clients continue to choose us because of our model, directly addressing the pain points of traditional offices, which are the hassles of managing multiple landlords, multiple designers and vendors, long build times, high upfront costs, inflexibility an d large admin teams managing day -to-day operations, which is all replaced by a one -stop solution by Smartworks .

So, what does Smartworks stand for? First, a standardized and scalable product, where our customers get a uniform experience across India. Second, reliability, offices delivered in less than 2 months, a game -changer in the industry, which usually takes more than 6 to 9 months. Third, frugality, our industry -leading cost structure, whether it is our capex or our opex, allows us to operate efficiently through economies of scale, standardization and modularity.

Fourth, providing high -quality campuses with all aspirational amenities remains our core strength. And finally, value -driven pricing, where all of this allows us to deliver a competitive and value -for-money pricing to our customers. I will now hand it over to Harsh.

Harsh Binani: Thank you N eetish. Good evening, all. Let me now talk you through important features of our business. We are a high -growth and rapidly scaling business, yet our model is de -risked and insulated. Even when the coworking industry was tested in COVID with multiple client move -outs due to work -from -home and other restrictions, Smartworks remained strong. We did not surrender any of our large campuses during this period, reflecting the resilience of our business model and our astute building choices. Our mature centres maintained healthy occupancy of around 85% and we operated near breakeven levels. In fact, we were the only ones to expand during COVID.

Incidentally, we also had one of the highest footfalls during this period because of the host of amenities we offered, demonstrating the attractiveness of our product. In times of uncertainty, we are the most attractive partner for our clients because of o ur value pricing and flexibility.

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On the supply side, we are present across India, with supply in 14 cities and Singapore.

Today, we cover over 94% of our spaces, with presence in all the important micro -markets of the country. We work with a diverse range of developers and landlords, ensuring there is no dependency on any single one. Our supply responds directly to customer d emand, with strong pre-fill commitments from either our existing clients or new prospective ones, allowing us to scale up in a deliberate and a derisk ed manner.

Let us now walk you through the journey of a campus. Within 2 to 4 months, very efficiently, after leasing a large campus, we complete the common areas like cafes, corridors and the aspirational amenities and start to build out the offices for the pre -filled commitment.

Post this, within the first 12 months, we aim to reach 65 % to 70% occupancy and achieve breakeven. Post this, we recover our entire payback with a steady -state ramp -up of occupancy in about 30 to 32 months. Once our cent re stabilizes and recovers the capex, our margins continue to stabilize, but our ROCE continues to go up.

Let us also share some perspective on our demand strategy. Today, our demand is enterprise focused . It primarily comes from 300 -plus seats clients who commit to long tenures of over 48 months. They are highly sticky, with a high retention rate of over 80%. Moving forward, about 75% of rental annuity income will continue to come from the top six cities.

While our top 10 clients currently account for less than 20%, this share will continue to come down. No single client of ours typically occupies more than 30% of our campus, further de -risking our model. On the sector side, we are very diversified. Although IT and ITES share is the largest in India's

commercial real estate, for us that is only 42% and has been progressively coming down.

Today, we serve a broad spectrum of sectors, including engineering, logistics, health care, manufacturing, and BFSI. Our clients include Fortune 500 companies, Indian conglomerates, MNCs, and well -funded soonicorn s, unico rns, so on and so forth.

Our revenue model is primarily annuity -based rental income. In fact, 94% of our revenue is rental revenue, which provides us with significant stability and predictability, with visibility into the next few quarters and beyond.

Today, our normalized EBITDA has expanded and stands at close to 16%. Going forward, our margin expansion will continue to happen. One, as new cent res mature over the second half of the year, occupancy and utilization will rise. Second, our margin will also expand through operating leverage in corporate and SG&A expenses.

Today, our cost of doing business continues to reduce because of economies of scale and standardization. Our capex and opex continue to go down. As we continue to build our brand and effectively use our proprietary technology platforms, our cost of acquisition of customers and the sales cycle will also continue to reduce.

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We leverage a vast design library having built and delivered over 1 ,000 offices. We've also built a proprietary platform called BuildX, which is a game changer. It brings together design, project, and procurement teams, enabling us to deliver office in a fast -paced 2 months, a big innovation in the industry.

From the outset, we have been emphasizing cash flow predictability and frugality as our core values. Our operating cash flow to EBITDA has constantly exceeded one. As our EBITDA grows, our cash flow grows , which is essentially the funds available for reinvestment and growth.

Based on Q1 '26 estimates, our normalized cash flow from operations is approximately INR 3,400 million, which represents a 42% growth from around INR 2,400 million in FY '25. And this is expected to continue to accelerate with expanding margins in upcoming quarters. Moreover, the CAGR of normalized cash flow from operations from FY '20 to FY '25 exceeds a whopping 80%, highlighting our strong and sustainable cash flow generation.

While in the near-term, on account of growth, our OCF to EBITDA may go up to 1.4, in steady state, it will settle between 1.1 to 1.2, but will continue to stay above 1. Our terms of trade are the most superior in the industry, with receivable days of just 5, driven by our strong client base and ERP-driven collection systems.

Our ROCE has grown to healthy levels and doubled. Today, it stands at more than 13%. Given our focus on cash flow and our capital efficiency, we believe that in the next 2 years, we can double our ROCE, with further upside projected over the next five. We believe our industry is unique, with IndAS accounting and different accounting policies being followed across the industry.

One common unified way to measure ROCE is to compute its basis cash flows. Here is where you can see the North Star of Smart works shine. We have the best -in-class metrics, with cash ROCE upwards of 47%. And finally, we've eliminated asset liability mismatch for at least the next 2 years, and this will continue to remain as we scale up.

Let us also share some perspective on our growth strategy going forward. In terms of growth, we already have visibility to reach 12 million square feet. At this scale, we foresee that we will be in self-sustaining capex mode, which allows us to grow by 25% to 30% year-on-year without any additional funding. With our strong cash flow generation, the company will continue to have healthy liquidity and cash balances in the near term.

We had scaled up meaningfully prior to IPO and today are well on track to become free cash flow positive.

Soon. We are accounted by IndAS 116 which requires us to create non-cash accounting provisions. In the medium term, the reported IndAS PBT and the non-GAAP PBT will also converge, as our accounting provisions will start to reverse and the business profits will increase manifold.

Value-added services business line, which leverages over 700 plus companies and their 150,000 employees coming to our campuses, will continue to grow. However, our focus remains on our core annuity business, where we see a bigger potential to grow and increase our market share. Smartworks Coworking Spaces Limited

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From the IPO raise, where we raised INR 3,9652 million net of offer expenses, majority is being used for expansion and growth. And today, we are completely net debt negative post-IPO. Now, I will invite our Chief of Strategy and Investor Relations, Anirudh Tapuriah, to talk about the Q1 FY '26 performance.

Anirudh Tapuriah: Thank you Harsh, and a very good evening to everyone. Let me now take you through our Q1 FY '26 performance. We are pleased to share that we have had a solid start to the new fiscal year. Q1 has demonstrated consistent revenue growth, strong operational efficiency, and continued progress towards profitability, despite ongoing depreciation and finance costs, which is optically higher on account of IndAS accounting.

We are seeing positive traction in both our core and ancillary revenue streams, and we remain focused on optimizing margins, enhancing asset utilization in terms of occupancy ramp-up, and scaling operations efficiently. Our revenue growth is healthy. In Q1 FY '26, it stood at INR 3,792 million, representing a 5.8% sequential growth and a 21% increase on a year-on-year basis.

Our strong EBITDA and margin performance continues, supported by cost control. Our EBITDA stood at INR 2,410 million, up 25.5% year-on-year, with a healthy EBITDA margin of 63.6%, reflecting strong operational efficiency. Our normalized EBITDA stood at INR 607 million, growing by 109% year-on-year, marking a healthy 16% margin, driven by disciplined cost management and operational efficiencies.

Depreciation and finance costs stood at INR 1,739 million and INR 815 million respectively, with finance costs remaining broadly stable. Please note that these cost types include depreciation on ROU assets and interest on lease liabilities, which are non-cash in nature. Depreciation on fitouts and finance costs on borrowings stood at INR 374 million and INR 87 million, respectively.

I am happy to share that in this quarter, we have reported a positive PBT on a normalized basis, while it was negative INR 56 million as per reported IndAS financials, which has substantially reduced from negative INR 311 million in Q1 FY '25, mainly due to depreciation and high interest cost burden on account of IndAS 116 accounting.

Our normalized PBT improved to INR 168 million, representing a margin of 4.4%, a significant

turnaround from a negative PBT of INR 102 million in Q1 FY '25 . Our normalized OCF generation in Q1 FY '26 stood at INR 855 million compared to INR 501 million in Q1 of last fiscal, showing a growth of over 70%.

On the supply side, since FY '19, we have added 8.6 million square feet across major cities, which primarily includes Pune, Bengaluru, Hyderabad, Mumbai and other cities, leading to a footprint of 10.1 million square feet as of 30th June 2025. This will further grow to 12 million square feet considering the LOIs and term sheets which we have signed.

23,695 Million was mentioned in error. Figure corrected above.

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As of 30th June 2025, 0.7 million square feet stood under fitout and 1.07 million square feet is under yet to be handed over, over the coming couple of quarters. Our debtor days continue to be less than a week. Our

key demand metrics have also consistently been in line with our past performance. Let me share a few of them.

Our revenue contribution from enterprise clients stood at around 90% in Q1 FY '26 . Our revenue from multi-city clients stood in excess of 30% in the quarter gone by. Our weighted average total tenure as of 30th June 2025 stood at 45 months, with the average lock-in tenure as of the same date standing at approximately 33 months.

Our occupancy in operational centres is above 83% and our committed occupancy in these centres stands at around 89%. Happy to share that our committed revenue stands in excess of INR 40,000 million. Now as we have talked about our quarterly performance, I would like to hand over the call back to the moderator requesting to open the line for Q&A.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Girish Choudhary from Avendus Spark . Please proceed.

Girish Choudhary: Yes, hi. Good evening and firstly congratulations to the entire team on successful listing and also a good set of numbers. So, on the revenue side, we have seen growth of 21% Y-o-Y and also sequentially we have seen 6% growth. I just wanted to understand in terms of the leased area or occupancy seats, whatever you track and also the pricing, how should we understand this 21% growth on a Y-o-Y basis?

Anirudh Tapuriah: Sure, Girish. So, we will take your first question. As far as the revenue contribution is concerned, we are very focused as far as our annuity revenue through lease rentals are concerned , which stood at approximately 94% in Q1 FY '26 . Revenue from ancillary services contributed approximately 4.6% of the Q1 revenue of INR 3,792 million. And when you look at fiscal year '25, the contribution from these ancillary services was approximately 3.8% only. So, our focus continues to be driving our lease rental revenue which continues to be an annuity business.

Girish Choudhary: Okay. So, I was wanting to understand from a leased area Y-o-Y, how much we have seen and also how is the pricing growth Y-o-Y?

Anirudh Tapuriah: Sure. So, from a leased area perspective, we will also cover that as well. As far as our leased area is concerned -- sorry , just a second. We will just come back in a second.

Girish Choudhary: No problem. Yes.

Neetish Sarda: So, while we are just picking up the exact lease area from the quarter before and right now, I think pricing , Girish, there are two strategies. One is obviously the contracted revenues, which escalate at about 5 % year-on-year. So, the revenues that we are already contracted for would automatically escalate at those numbers.

And if you look at the pricing that we've done for the new deals that we've added in the last quarter, they have also been on the same average increase of 5% , closer to about 7,900 rupees per seat. If you look at our total area, we stood at closer to about 8 million square feet of space

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last year and that number has already increased to about 8.3 million square feet³ this quarter with another 0.7 million square feet getting added in the next quarter which is already under construction and a million square feet as we mentioned earlier getting added over the next two quarters.

Anirudh Tapuriah: And, Girish , I would just like to supplement - as far as our operational area is concerned, it stood at 8.3 million square feet as of June 25 and our occupancy on an overall basis was at 83%. It translates into approximately 190,000 seats in terms of operational area. A worthwhile point will be as far as our matured footprint is concerned, it stands in excess of 165,000 seats with a committed occupancy revenue in excess of 90%.

Neetish Sarda: So, the drivers for this is while we are adding new cent res which are now getting filled, our exis

ting centr es occupancy is going up and our cost reduction has helped us increase our margins. If you look at our margins, they have grown from Q1 of last year to Q1 of this year by almost 109%, growing from ~INR 30 crores to almost INR 61 crores this quarter , driven by increased occupancy and the price escalation of 5%.

Girish Choudhary: Yes. I also had this follow -up on the margins. We have seen, as you mentioned, a strong improvement Y-o-Y. I see operating expenses contributed a large bit to this. They have been very flattish in the range of INR 100 crores to INR 103 crores per quarter. And interestingly, your rental expenses has also gone up by just 10%. So if you can explain this operating expenses bit and also the sustainable margins going ahead from , let's say, the current 16% levels.

Harsh Binani: Thank you Girish. This is Harsh here. On a more strategic front, that is the beauty of how we built and scaled up our business. We see significant margin expansion on a go forward basis, not only because we are going to start to see the benefits of scale and operating leverage kicking in our business, but on a more factual basis, the base effect is also going to catch up.

In the early days, when our base footprint had not scaled up, new centr e addition used to pull down the margin. But as we are now scaling up, we are happy to inform that more than 89%4 of our operational portfolio is already mature. And with our current footprint of 10 million square feet, with our growth target of adding 2.5 million to 3 million square feet every year, the proportion of mature cent res will continue to go up. So as a result of this, you will continue to see the margin expansion happen.

And more importantly, from a margin perspective, it's a deliberate design choice that we've made that as we take larger and larger campuses, our cost of operation continues to go down, which is the trend that you see reflected also on the P&L that you obse rved. And as we scale up, we believe that in upturns or in downturns, we will continue to be the choice provider for large enterprise clients who prefer value price offerings such as ours.

So, we expect that the margin expansion trend on our core annuity business will continue. While in the future, there also will be new business lines, as we mentioned, that will help us scale up,

3 8.7 Million sq ft was mentioned in error. Figure corrected above

4 45% was mentioned in error . Figure corrected above

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for now, our focus is on the core annuity business, which is where we see the highest potential to scale up the fastest and increase our market leadership.

Girish Choudhary: Sure, got it. Fair enough . That's clear. My next question is that, like you mentioned, around 1 million square feet is coming up over the next 6 months. So, you have any pre -leasing kind of done for this 1 million square feet? So just wanted to understand, if not pre -leasing, what's the kind of occupancy you're targeting?

Neetish Sarda: Absolutely. So, Girish, we typically have about a 20 % to 25% pre -lease that we do before any centr e comes in. With the network effect now kicking in with respect to what I had mentioned earlier, our existing client expanding in line with us has allowed us to get pre -commitments of about 20 % to 25% before we go ahead and take any of the buildings. These buildings will come in over the next two quarters.

We already have very strong pipelines, because if you look at the million square feet , it is across only three assets. So with Smartworks , because we are not really spreading this million square feet out on floors and taking smaller properties, square feet just three assets are contributing to this additional million square feet with an average propert y size north of 200 ,000 to 300,000 square feet . And the pipeline for all the three asset

s is very, very healthy.

Currently, pre -committed occupancies would be closer to about 25 -30%, which is standard with most of our new centr es. But we also have a strong enough pipeline to take these projected occupancies. We typically take about 12 months to get it up to about 65% to 70%, which is when we breakeven.

Girish Choudhary: Got it, got it. Thank you and all the very best.

Moderator: Thank you. The next question is from the line of Shivkumar Prajapati from Ambit Investment Advisors . Please proceed .

Shivkumar Prajapati: Yes. First of all, congrats on your successful IPO. I have two questions. Number one is how we are able to maintain the lowest opex as well as capex per seat as compared to the industry average ? And my second question is, would we be able to maintain the same going forward once we plan to expand in NCR, Kolkata or Chennai region? And my third question is, I believe 100% of our business comes through broker channels. So, would we be able to reduce the dependency

on brokers?

Neetish Sarda: Sure, sir. Maybe I can answer the first question of how we've been able to reduce our capex and opex and have industry standards. If you look at Smartworks' approach, our ability to take large individual buildings and convert them into campuses is something that sets us apart. What we have realized with economies of scale and standardizing the products, 75% of the materials which are used in office spaces can actually be standardized.

By doing both of this, we are able to leverage our scale, go directly to manufacturers and significantly decrease the capex cost which is required to build out offices. Smartworks has demonstrated this multiple times across all our centres in the last 5 to 6 years, where we have

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continuously gone ahead and kept reducing our capital expenditure that is the upfront expenditure that we do to build out offices.

We are also able to get better area efficiency because when we take up the entire building, you're able to utilize all parts of the building because of which our opex as well as the capex gets distributed over a larger area. We are able to eliminate a lot of middlemen who usually come in to manage the building on a day-to-day basis and are able to get those margins back to our numbers.

Smartworks with its scale standardization has been able to reduce both our capex cost to INR 1,350 and our opex cost to INR 34 to INR 36 per square feet. And I think this also comes with both at the macro and micro lens. On the capex side, well we can standardize it. On the opex side, we've been able to reduce costs at a macro level.

Just imagine - Smartworks operates more than 9 million square feet of operational space today. Across these 9 million square feet of space, we've gone ahead and negotiated for EMCs centrally. We've gone ahead and negotiated for micro level things like tea, coffee, water centrally. With our scale, we're able to reduce costs and pass on certain benefits back to our customers. It's our continuous effort to make sure that the cost to serve the customer keeps decreasing over a period of time.

The second question which is sustainability of this. Sir, we think that we've been able to demonstrate this across not just last year, but we've been able to demonstrate this across last 3 to 4 years. You'll see continuously that our gross block with respect to the new assets which are getting added has continuously been stable and getting better. Sir, we think that the numbers that we are currently at, which is 1,350 and 36, it is a good place to stabilize going forward.

Anirudh Tapuria: And also, to touch on your question as far as our brokerage expenses are concerned, we're very happy to share that in fiscal year '22, our brokerage expense was 4% of our revenue. It has already gone down to approximately 3% as our dependency on

the brokerage system continues

to go down. Harsh and Neetish, would you like to add any perspective on that?

Neetish Sarda: Yes. Absolutely. So, in the first quarter of this year almost 32% of our revenue came from clients who have expanded with Smartworks across different cities. While the initial deal happens through IPCs, most of the expansion happens directly with the customers. So we have been able to reduce our cost of acquisition also significantly in the last, as Anirudh mentioned, going down from 4.5% to less than 3% now. Hopefully that answers your question.

Moderator: Thank you. The next question is from the line of Ayush Saboot from Choice Institutional. Please proceed.

Ayush Saboot: Yes. Hi. Could you please guide us on the seat addition that we plan to do in FY '26 and FY '27?

Neetish Sarda: Absolutely. So, if you look at our signed up square footage already, we have grown from 8.3 million square feet in the start of the year to approximately 10 million square feet of space which is going to get live. 0.7 of which is already under fitout. Currently our operational centres stand at about 190,000 seats. 15,000 seats are under fitouts which will get added within the next quarter

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itself. From there you will see an additional 26,000 seats, which is the 1 million square feet which is going to come in the next 2, 3 quarters. Both of that combined are about 40,000 seats which are going to get added this year which is already contracted for.

In fact, we have gone ahead and signed space even further increasing from 10 million. We have an additional 1.9 million square feet of space which translates to 43,000 seats which we have already contracted for which is going to come by the end of the year and the revenues for that will be realized next year.

So what I can tell you safely from 190,000 seats of operational square footage from the signed

contract as well as the under fitout deals that we have, you will see the seat count increase from 190,000 seats to 275,000 seats within the next 4 to 5 quarters.

Ayush Saboot: Okay. Thank you. And just one more question regarding the seat addition. If you could specify the capex cost that we incur per seat and also is the total capex cost per seat borne by Smartworks itself and also once the seats are added, how many quarters does it take to start contributing to revenue?

Neetish Sarda: Absolutely. So, Smartworks spend about 60,000 rupees per seat to build out all of these seats. All of this is spent by Smartworks itself. We do not get our landlords to participate or share a portion of this because our cost to build out the offices is the least in the industry and we have been able to leverage our scale to do that. And we want to make sure that we are going ahead and leveraging that and spending it on our own. So, 60,000 rupees is what we spend per seat.

Harsh Binani: On a more strategic choice to reiterate to Neetish's point, doing straight lease model is a choice that the company has made to leverage the efficiency that we are able to get both on the capex as well as opex. We mentioned earlier that our unit economics is very robust and we are able to recover our entire capex in 32 months.

So, for instance, if we are taking a building for a tenure of over 15 years with a much shorter lock-in period of about 4 to 5 years, if we are able to recover our capex in such a quick and rapid fashion, we believe we have built a very strong entry barrier by having an access to a building asset in the best micro markets of the country.

And once the first capex cycle recovers, the building becomes a ROCE machine. As we continue to mature and age, our metrics continue to get better, and the risk profile of the company continues to go down. That's why it's a strategic choice.

And I think just to add to your second question where when

will we start realizing money. So, unlike typical flexible workspace, we don't go ahead and spend that money on day one. The 60,000 also that we are mentioning, while Smartworks takes up the entire building, we only spend on the fitout of the space when a customer comes and signs the space. So, it is not like the capital gets deployed today and we wait for a couple of quarters for the occupancy to go up. The fitouts would only happen once a customer is onboarded.

Ayush Saboot: Okay, thank you. That was very helpful. Shows your robust business model. Also, if you could just reiterate one, the 2,75,000 target that we plan to achieve this by FY '27 end, right?

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Neetish Sarda: Yes. So, the total addition that you see will be for this year is about 45,000 seats, which is already there in the pipeline and then additional 1.9 million square feet that we sign, majority of it is going to come in the next year.

Ayush Saboot: Okay, thank you. And any guidance regarding, I know this must be a little bit far-fetched, but what kind of seat addition will be planted on FY '28? Any guidance regarding that?

Neetish Sarda: If you look at our performance in the last couple of years, we've been able to grow steady as we earlier mentioned at about a 30%-35% CAGR year-on-year. And that's the Smartworks growth strategy that has been. I think keeping in mind the value pricing that we have and this kind of scale that we've created, this is something that we've been able to demonstrate in the past.

Harsh Binani: And to reiterate to Neetish's point made earlier, our business model allows us to take large campuses, making it very scalable. So, for us to add 2.5 million to 3 million square feet on an annual basis, it is a few buildings that we need to sign every year, given that we work with both non-institutional and institutional developers.

Neetish Sarda: So, as Harsh mentioned that you will see that we've been able to add a significant capacity of 25,000 to 30,000 seats in the last couple of years. And I think looking at how we are, 30,000 to 40,000 is what we'll be able to continue adding.

Ayush Saboot: Okay. Thank you. I mean, all the best for your future.

Neetish Sarda: Thank you.

Moderator: Thank you. The next question is from the line of Srinivasan from Asksrini. Please proceed.

Srinivasan: Yes. Good evening, team. Congratulations on the good set of numbers. Revenue increase of 21% is a very good number. So, I just want to have two questions, okay? One on the revenue front.

So, I just want to know what is the revenue per square feet on occupied area at Q1. And also, I understand that you have a very ambitious goal of adding 2.5 million square feet every year.

I just want to know what will be the occupancy ratio for the full year. And also, what will be the incremental space being added? What will be the revenue on it also that is being signed? And also, on the loan front, I just want to know what is the cost of capital for the Q1 financial year

'25-'26? And also, what is the expected cost of borrowing for the full year?

Anirudh Tapuriah: So, thanks a lot for your question. I will probably take all the questions one by one. The first question was as far as occupancy is concerned. So, we are very happy to share that in Q1 FY '26, our occupied seats have gone up by around 5,900-odd seats. Currently, it stands at

approximately 158,500 -odd seats.

As far as your second question is concerned that how do you look at on a revenue on a per square feet basis. Again, we are happy to share that on an overall basis, our revenue per square feet in Q1 FY '26 , that stood at approximately 173 rupees on a per square feet basis. This is just on the primary leasing side. The ancillary revenue for which we did approximately 4.5% comes over Smartworks Coworking Spaces Limited
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and above that. As far as your next question on debt is concerned, Harsh, if you would like to take that.

Harsh Binani: Smartworks over the last few years has been very efficiently able to work with several private international banks and PSUs and introduced a new cash flow-based lease rental discounting in the industry where we are able to take advantage of long-tenured enterprise tenure contracts to raise money at a very competitive rate.

Today, our cost of borrowing stands at a very healthy approximately 9 %-odd and the interest expense over the last few years has been continuing to go down. During the IPO, we had the opportunity to also repay some debts which will cumulatively save us about INR 21 crores. During the course of this entire debt raise, it has also translated to us expanding our return on equity for all our shareholders.

Anirudh Tapuriah: I just also wanted to add as far as our finance cost on borrowings is concerned, that stood at approximately 87 million in Q1 FY '26 . When you look at it as a percentage of revenue, it was approximately 2.3% in Q1.

Srinivasan: So, Yes, just to follow -up on that, I understand the cost of borrowing for Q1 FY '26 is around 9%. I just want to know what can be the full year cost of borrowing guidance for Smartworks .

And also, we expect maybe a repo rate being changed down by the RBI in the coming MPC meetings , does the company foresee this as a positive impact on the borrowing cost or because of the turmoil in the macroeconomics to weigh in on the cost of borrowing for the company?

We also see that the repo rate change is not being passed down to the borrowers. So what does the company foresee on this front?

Harsh Binani: Thank you. Like we mentioned, the company has already had the chance to repay debt during IPO, which was of high-cost nature. We continue to engage with the different banks and take advantage of the rate cuts. At this point of time, our rates continue to be very competitive between 9 % to 10%. And like we mentioned earlier, we are today net debt negative, and our gross borrowings have been continuing to go down year-on-year. And over the next 2 years, we practically see this number to become very negligible.

Srinivasan: Yes. Thank you so much. All the best everyone. Thank you.

Moderator: Thank you. The next question is from the line of Murgank , an Individual Investor . Please proceed.

Murgank: Yes. So Yes, regarding the competitive landscape, I had a question. So, there is a competitor called EFC Limited. And EFC did a INR 40 crore s profit this year. And it just manages an area of 3.5 million square feet. So how is EFC so efficient with their managed space? And how are they able to generate so much profit is my question.

Neetish Sarda: So, sir, what we can comment on is what Smartworks has done. Our revenues are annuity incomes that come in. We have been constantly increasing. If you look at our margins, in FY '25, they stood at 12.5%. In the first quarter of FY '26 , our adjusted EBITDA is already at 16%. This is with a significant increase in base as well as the new capacity which is added.

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So Smartworks is in a high growth stage, and we have started seeing a significant increase in trajectory . If you look at the last 3 years' trend from 36 crores which was 5.1% , in FY '25 , we ended the year at INR 172 crores, which is a 12.5% EBITDA. Now that number is further increased from 12.5% to 16% in Q1FY26 .

And if you look at even our IndA S losses, which is what we are, accounted for, even those IndA S losses which are through accounting provisions which are created, they have also considerably gone down. Last year, they stood at almost 63 crores. In the first quarter of this year, that number has gone down to 4 crores. So Smartworks is in a path where we are constantly increasing o

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margins whilst increasing our significant base.

Anirudh Tapuriah: And we'd just like to draw your attention to one more point. If you look at our Investor Presentation , on page 35, we have represented our normalized business performance. You will

see that our normalized PBT for full year of fiscal year '25 stood at 155 million. And just for the first quarter of fiscal year '26, it stands at 168 million. So that is the kind of robustness which you see in the underlying business.

Murgank: Okay. All right. Thank you.

Anirudh Tapuriah: Thank you.

Moderator: Thank you. Due to time constraints, that was the last question. I now hand the conference over to Mr. Harsh Binani, co-founder of Smartworks, for closing comments. Over to you, sir.

Harsh Binani: Thank you all for joining our Q1 '26 earnings call. We appreciate your continued support and confidence in Smartworks. As we move forward, our commitment remains steadfast in delivering exceptional value, innovation, and quality to our clients while driving sustainable growth.

We are excited about the opportunities ahead and look forward to sharing our progress in future updates. Feel free to reach out with any questions or for further discussions to EY or our Investor Relations team. Thank you again so much for joining the call.

Moderator: Thank you. On behalf of IIFL Capital Services, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

(This document has been edited for readability purpose)

Call: Nov 2025

Smartworks Coworking Spaces Limited

(Formerly known as Smartworks Coworking Spaces Private Limited)

Regd. Office: Unit No. 305 – 310, Plot No. 9,10, & 11, Vardhman Trade Centre, Nehru Place, South Delhi – 110 019 .

Corporate Office: DLF Commercial Building, Block - 3, Zone -6, DLF Phase – 5, Gurugram, Haryana -1220 02

Phone No: 0124 -6919 400

CIN: L74900DL2015PLC310656

Date: November 12, 2025

To,

National Stock Exchange of India Limited ("NSE")

Listing Department

Exchange Plaza, C -1 Block G, Bandra Kurla

Complex Bandra [E], Mumbai – 400051 To,

BSE Limited ("BSE")

Listing Department

Corporate Relationship Department

Phiroze Jeejeebhoy Towers,

Dalal Street, Fort, Mumbai - 400 001

NSE Scrip Symbol: SMARTWORKS BSE Scrip Code: 544447

ISIN: INE0NAZ01010 ISIN: INE0NAZ01010

Subject: Disclosure under Regulation 30 read with Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript

Dear Sir/Ma'am,

As per Regulation 30 read with Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 , Transcript of the discussion on the Unaudited Financial Results (Standalone and Consolidated) of the Company for the quarter and half year ended September 30, 2025, at the analyst meet held on November 7 , 2025, is available on the website of the Company at <https://www.smartworksoffice.com/investors/> .

The analyst meet, conducted through Audio means at 11:00 A.M. (IST) and concluded at 12:15 P.M. (IST) on November 7, 2025 .

This is for your information and records.

For Smartworks Coworking Spaces Limited

Punam Dargar

Company Secretary & Compliance Officer

Mem. No.: A56987

Address: Unit No. 305 -310, Plot No 9, 10 & 11 Vardhman Trade Centre
Nehru Place, South Delhi, Delhi, India, 110019

Encl.: As above

"Smartworks Coworking Spaces Limited Q2FY26 Earnings
Conference Call"

November 07 , 2025

MANAGEMENT : MR. NEETISH SARDA – MANAGING DIRECTOR ,
MR. HARSH BINANI – EXECUTIVE DIRECTOR ,
MR. SAHIL JAIN – CHIEF FINANCIAL OFFICER ,
MR. PRATIK AGARWAL – CHIEF BUSINESS OFFICER ,
MR. ANIRUDH TAPURIAH – CHIEF OF STRATEGY &
INVESTOR RELATIONS

MODERATOR : MR. MURTAZA – KOTAK SECURITIES

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Moderator: Ladies and Gentlemen, Good Day and welcome to the Smartworks Coworking Spaces Limited Q2 FY26 Earnings Conference Call hosted by Kotak Securities.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “* ” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Murtaza. Thank you and over to you, sir.

Murtaza : On behalf of Kotak Institutional Equities, I welcome you all to the Q2 FY26 Earnings Call of Smartworks Coworking Spaces Ltd.

On behalf of Smart works, we are represented by the Senior Management, Mr. Neetish Sarda – Managing Director; Mr. Harsh Binani – Executive Director; Mr. Sahil Jain – Chief Financial Officer, Mr. Pratik Agarwal – Chief Business Officer, and Mr. Anirudh Tapuria h – Chief of Strategy and Investor Relations.

Without wasting much time, I will hand over the call to Mr. Neetish Sarda for his opening remarks.

Thank you .

Neetish Sarda : Good morning, everyone, and thank you for joining us for Smartworks Q2 FY26 Earnings Call. The earnings presentation has already been shared with the Exchanges, and I hope you have had the opportunity of reviewing it.

I will begin with a Brief overview of our business and then move on to the key highlights for the quarter . Q2 FY26 marks our 2nd Quarter as a listed company, and the benefits of listing are already clearly visible. Operationally, we are experiencing stronger access to supply on preferred terms, which facilitates faster scale -up and accelerated enterprise inbound activity. Strategically, this market visibility is driving the closure of large deals and significantly deepening our institutional credibility. As the largest Pan -India managed office platform, Smartworks continues to lead India's managed workspace evolution. At 12.7 million square foot of total super -built-up area across 14 cities serving 760-plus clients, we have delivered another solid quarter. Our managed campus model sets us apart. As you know, we leave entire bare shell buildings and transform them into tech -enabled, enterprise -ready ecosystems that combine scalability, efficiency, and experience. Think of it as a workspace operating system, one that connects landlords, enterprises, and employees seamlessly. Our large amenity -rich campuses are micro -cities of productivity, drawing employees back to work, elevating daily experience, and fostering collaboration.

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Our performance in this quarter reflects continuous strength across four key pillars of Smartworks – High Growth, Predictable Revenue, Self -Sustaining Cash Flows, and Longevity of the Business Model. Details of this are mentioned on slide #8.

In Quarter 2 of FY26, we delivered another strong performance. Our revenue stood at almost Rs.425 crores, growing 21% year -on-year and 12% sequentially from the last quarter. With this, our normalized EBITDA rose 46% year -on-year to almost Rs.70 crores with a 16.4% normalized EBITDA margin. Our committed rental revenue stands in excess of INR4,400 crores as we speak. Annualized ROCE improves to almost 14.3%, the highest in the company's history, supported by capital discipline and operating leverage from mature centers. Smartworks remains net -debt-negative at INR59 crores, with a normalized operating cash flow of INR62 crores and an OCF -to-EBITDA close to 1x. Since our IPO, we have reduced gross debt by nearly 45%, reaffirming the strength of our self -funded asset -light model. I am pleased to inform you that CareEdge Rating CareEdge Rating recently upgraded our rating from BBB++ to A Stable, a two -notch upgrade

ade that recognizes our
balance sheet strength, strong cash generation and consistent growth.

Supply visibility has strengthened significantly, giving us a clear line of sight for the next two years and beyond. Today, we have a signed -up portfolio of up to 14 million sq.ft. and have visibility of 100% of FY26 and FY27 supply, with FY28 sourcing already underway. Despite having high visibility of FY26 and FY27, the company continues to have the appetite to take on more business because of the continued demand. For supply details, please refer to slides #12 and #13 in the deck shared.

We at Smart works continue to beat our own track record of the largest managed campuses, not just in India, but at a global level. Today, over six of our campuses are more than 500,000 sq.ft. each, and we are happy to announce that now we have the world's largest standalone campus with the Hiranandani group in Mumbai. All these large campuses have more than 8,000 -10,000 people coming to it on a day -to-day basis.

Our landlord base has also directly strengthened both in scale and resilience. 24% of our portfolio now comes from institutional developers like DLF, Hiranandani, Tata Realty and Panchsheel, while the rest is from non -institutional landlords. It demonstrates strong traction of flexible workspace and new habit formation, which is attracting larger developers also to partner with us. With no dependency on a single landlord, we operate with an unlimited runway and zero chokepoint, a model built for resilience and not reliance.

On the demand side, two trends stand out : First, deal sizes are rising sharply, led by GCCs and large enterprise clients. GCCs now contribute to more than 15% of our rental revenue, and this share is expected to continue to grow up meaningfully in the future. Our GCC offering, which we will talk about in a few minutes, is uniquely positioned to capture meaningful market share in the future.

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This quarter, we began reporting our 1,000 -plus-seats cohort, which means these are clients who have taken up more than 1,000 seats with Smartworks. This already makes up more than one -third of our rental revenue. These large enterprise deals strengthen client stickiness and tenure and are margin accretive .

Second, pre -fill from existing clients is driving faster ramp -up across new centers. Our deep relationship with clients is our biggest moat. Rentals from multi -city clients continue to be over 30%, which means that if Smartworks adds 3 million square foot of space every year, 1 million is being pre-filled from our existing client base.

With scale, our acquisition costs are declining, reflecting in brokerage which has reduced to 2.4% of our lease revenue in Q2 of FY26, with sales cycles continuously shortening. For instance, the first deal with one of our Fortune 500 clients took nine months, but every subsequent engagement we close with them was closed within two to three months. Today, we have become their pan -India infrastructure partner. We continue to maintain industry -leading cost structures, both for CAPEX and OPEX , allowing us to pass on volume, value back to our customers while scaling profitability.

I will now highlight some of the key aspects of the industry that we operate in :

India stands at the epicenter of the world's office evolution. According to Knight -Frank, the country will add 1 billion square foot of office stock in the next 10 -15 years. At the same time, flexible and managed formats are becoming mainstream. Cushman & Wakefield in its report said that flex penetration in Grade A offices has already risen from 10% to 25%, marking a structural shift in occupier behavior. Enterprises are choosing flexibility, speed, and experience over conventional long-term leases.

Within flex, managed campus has become the gold standard and Smart works has pioneered this

category in India, bringing design, technology, and flexibility together at scale. A major catalyst in the surge is global capability centers.

According to industry estimates, GCCs will drive 50 -55 billion square foot of new office demand over FY26 -27, and account for nearly 40% of the total absorptions across India's top cities. Their preference for managed campuses is natural. These models allow them faster setup, stronger compliances, and scalability, which is essential for them to grow within different cities in India.

We are also seeing a broader consumer shift from conventional offices to flex. What started off as a cost and flexibility play has become a behavioral movement. Enterprises now seek experience -led collaboration campuses that enhance productivity and employee engagement. Smart works is uniquely positioned to capture this dual shift, from conventional offices to managed models, and from smaller footprints to mega enterprise campuses.

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Let me now hand it over to Harsh, our Co-Founder, to take you through some of the key operational

and financial highlights for Q2 '26. Thank you. Harsh, over to you.

Harsh Binani : Thanks, Neetish, and good morning, everyone. Q2 FY26 has been an action-packed quarter for us, both operationally and financially.

Moving to quick updates on the operational side:

Today, our total footprint stands at 12.7 million square feet, with 9.1 million square feet operational across 49(1) centers, the largest managed office portfolio in India. Today, we manage over 235,000 seats, with two-thirds of our leased area comprising full-building campuses, consistent with our strategy. Our mature portfolio today stands at 7.5 million square feet, operating at 88% occupancy, with committed occupancy above 93%, providing strong visibility. What is noteworthy is our sustained and continuously higher occupancy, which reflects the resilience of our business model, which was tested even during the height of downturn.

To capture the expanding GCC opportunity, we have launched SmartVantage, a dedicated GCC enablement platform integrating workspace design, compliance, technology, and partnerships. This positions Smartworks as India's GCC partner of choice, and we expect our GCC revenue to double in the next couple of years.

Large deals continue to drive our momentum. In fact, our 1,000-plus-seat cohort, which three years ago was at 12%, today, has tripled to 35% of our rental revenue. These deals are long-tenure, margin-accretive, and create stronger client stickiness. Their average tenure is 50-plus months, with a significantly higher lock-in.

90% of our rental revenue continues to be from enterprise clients, with more than 70% coming from clients occupying over 300 seats, ensuring visibility and predictable cash flow. Our retention rate during the quarter was 74%, compared to 94.5% in Q1, primarily due to a healthy churn from an overall portfolio perspective, as re-leasing has seen higher realizations. For more details, refer to our shareholders letter.

Coming to the financial highlights, our revenue continues its steady climb, with each quarter compounding on prior momentum. Our Q2 revenue from operations stood at Rs.425 crores, which is up by 12% from Q1, and 21% from Q2 of FY25. We aspire to continue growing at 30%-plus in the near-term.

(1) 54 was mentioned in error. Figure corrected above.

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Our normalized EBITDA was approximately about Rs. 70 crores, up from 13% from last quarter, and 46% year-on-year, with an overall normalized EBITDA margin of 16.4%. Our PBT was at around Rs.25 crores, up 40% quarter-on-quarter, with margin expansion to 5.8% from 4.6% in Q1. Our EBITDA will continue growing faster than revenue, driven by critical scale and operating leverage, while our ancilla

ry business lines will eventually grow it further.

Our OCF-to-EBITDA continues to be very healthy. In this quarter, as a strategy towards our growth, we have added significant new capacity, for which the security deposit payout has been done. These will become operational in FY27 and have had a temporary impact on our OCF-to-EBITDA in lieu of higher future growth. For more details, refer to our shareholders letter.

Pre-IPO, we had scaled up our business in just Rs.500 crores. Our asset-light model continues to prove that efficiency and growth can co-exist. Our ROCE improved to 14.3%, nearly double of FY25 levels. We expect this to double in the next two years, and we continue to see more headroom for ROCE growth beyond that as well.

Our terms of trade continue to be best-in-class. Our receivables were under seven days, and we have eliminated any asset liability mismatch for at least the next two years. We are accounted by IND-AS 116, which requires us to create non-cash accounting provisions. In the medium term, the reported IND-AS PBT and normalized PBT will also converge as our accounting provisions will start to reverse, and business profits increase manifold.

To summarize – Similar to Q1, Q2 has demonstrated consistent revenue growth, strong operational efficiency and continued progress towards profitability, despite ongoing depreciation and finance costs, which is just optically higher on account of IND AS accounting. Our operating leverage will now be a key driver of our margin expansion, powered mainly by center-level occupancy gains, which will improve as campuses move from breakeven to 80% and beyond to 90%-plus.

Both our corporate and brokerage costs will continue to reduce with scale and this will also enhance our margins. In fact, our corporate costs as a revenue from operations has declined from 13.8% in 2022 to 7.9% in H1 of 2026.

As our new supply stabilizes and we surpass 12 million sq. ft of mature centers, the expanding base will further enhance our margin, with the mature portfolio increasingly driving profitability. At this scale, we expect to transition into self-sustaining CAPEX model, enabling 25%-30% annual growth

without any additional funding. Strong cash generation will continue to support healthy liquidity and cash balances in the near term.

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Now, moving on to guidance about our H2 '26, we are well-positioned to accelerate our revenue growth, with several new large deals continuing to go live. This will also translate into expanding margins further in the second half of 2026, with operating leverage playing out. Our growth is expected to also accelerate because a lot of our new capacity will mature. So, just to give a perspective, we will have 1 million sq .ft. of new operational supply and additionally 1.4 million sq .ft. of our current capacity will mature in H2 '26.

Our ancillary revenue growth is also set to double, with VAS growing very rapidly and VAS continuing to grow. Every square foot now sweats more revenue, and to clarify on VAS, we only account for take rates in top line for transparency.

Smartworks remains on track to deliver consistent growth, expand margins, and sustain shareholder value. Thank you so much for your patient hearing. We are now open to questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question comes from the line of Girish Choudhary from Aventus Spark . Please go ahead.

Girish Choudhary : Hi. Thanks for the opportunity. Congratulations on the East bridge deal as well. Just on this, if you can talk a bit about this deal in terms of timelines, the rental cost, the CAPEX cost, and also when do you see this to start generating revenues for you?

Neetish Sardha: Hi. This is Neetish. Girish, the East bridge property is on a stretch on Vikhroli, which is now

becoming the center of Bombay because it is closely connected to all parts of Bombay. We are seeing a significant amount of demand coming in from our existing customers who are also willing to expand. One of the things that we mentioned earlier was that more than 30% comes from our existing client base and most of our growth is now informed by our clients coming back to us and telling us which part of the country or city are they looking at growing in. So, we have a very healthy demand for this particular location. This property is currently under construction and will be handed over to us by the builder in the second or third quarter of next year . The property is over 815,000(2) square foot, which will have over 10,000 people coming to it on a day-to-day basis. It will require a CAPEX of close to about Rs.110 crores when the entire building gets occupied , and obviously, the entire CAPEX is not going to be upfront , it is going to be in phases as and when the occupancy increases . But, if you talk about the demand for the assets , we are seeing a significant demand already getting built up. Since the property is still about eight, nine months away, we are still observing the demand coming in. But you will definitely see that the ramp-up of occupancy ; we typically take about 12 - months to mature a center to get to that 65 -70% occupancy.

(2) 820,000 was mentioned in error. Figure corrected above.

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In this center, you will see that ramp-up happen much quickly because of the kind of demand that we are getting from our existing customer base itself , and that is the reason that we went ahead and chose expanding in this location. Hopefully, that answers your question.

Girish Choudhary: Got it. If you can talk about the rental cost and the lock-in period, if you have any details ?

Neetish Sardha: The rental cost is about Rs.120 per square foot. We have leveraged our scale and made sure that we have gotten a rental which is attractive in the market considering the 800,000 square foot take-up that we have taken. Considering the approximately Rs.120 -121 rental, it is about 9.4 or 9.5 crore rupees rental on a monthly basis. The property is only going to get handed over to us in Q3 of next year. Hopefully, by then, we will have a pipeline developed already. Currently, we have a very healthy pipeline visibility of about 30 %-35% which is from our existing customers , but we still have a runway of about eight, nine months before the property even gets handed over to us.

Girish Choudhary: Got it. Got it.

Harsh Binani : Girish, to add to Neetish's point, we also want to emphasize the quality of demand. Two interesting trends that have been observed is, one, we are getting mega 1,000 plus seater deals. So our conviction on Hiranandani is largely because we also expect a lot more mega deals to help us ramp up quickly . Secondly, Maharashtra is now emerging as a very key state for GCCs. We are continuing to see southern states get a lot of demand, but the base in Maharashtra is much lower. So, similar to our prior property as well in Navi Mumbai with Tata Realty, we do expect significant GCC inbound demand as well for both of these locations.

Girish Choudhary: Got it. Yes, that is helpful. And secondly, just a bit on the retention ratio, which we have seen falling

from 90% -plus to 74% , if you can talk a little bit about the nature of this exit and you also mentioned that you have been able to re-lease at higher spreads, but maybe if you can share how much higher on all those details ?

Harsh Binani: Sure, Girish. We have mentioned more details about this in the maiden shareholder letter, which we have also shared. To provide you a high-level perspective, while we do not comment on individual deals, two large renewals ended in Q2, which came from the COVID period. Both spaces have been

leased at higher yields, which is largely driving this healthy churn and explains the retention. We expect the retention in foreseeable future to continue upwards of 80 -85%, and at the same time, we will continue having some healthy voluntary churn as well in this. Thank you.

Girish Choudhary: Got it. Thanks.

Moderator: The next question comes from the line of Shamit Ashar from Ambit Capital. Please go ahead.

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Shamit Ashar: Yes, hi. Congrats on a good set of numbers and thanks for the opportunity. So a couple of questions from my end. Your IT client mix has declined from around 42% to 40% at present. So , considering your recent acquisition in Vik hroli, which primarily houses IT offices, what are your occupancy projections for that center? As of FY25, around 18% of your landlords were institutional, and that figure has now increased to around 24%. So Smartworks traditionally had stronger negotiation power with the non-institutional landlords. So , how does this shift towards partnering with institutional landlords impact overall pricing strategy and economics?

Harsh Binani: Thanks a lot for the question. Over the last three years, the company has intelligently diversified its sectoral base , and today, non-IT ITES account for more than 60% of our demand, largely from consumer , healthcare and manufacturing sectors . While IT /ITES continues to be a very important part of our portfolio, what we have recently also seen is influx of a lot of GCC clients, which now accounts for more than 15% of our rental revenue. So , we expect that the Vik hroli campus will ramp up quickly on back of a strong pre-leasing demand and also our sectorally diversified base, which not only includes IT /ITES , but several other more sturdier sectors. Prior to this, Smartworks had not expanded very aggressively in Bombay as we were building our brand. And Bombay, as you will notice, has a lot of BFSI and headquarters, which typically take a little longer to convert. But we are at that juncture now, where we will continue to see a lot of headquarter conversion , and also, we will penetrate more deeply into the BFSI segment in Bombay with both the new campuses that we have recently leased.

Neetish Sarda: And just adding on to that, and to your second question of institutional developer and partnering with them - I think for the longest time, Smartworks, with its large campus platforms, used to take from just non-institutional landlords, because the brand visibility was not there. Now that brand visibility has increased significantly, we are seeing even large developers partnering with us and giving us the kind of deals required for Smartworks to take up the entire campus and giving us their inventory as well.

So you are seeing these numbers go up because the institutional developers have also started partnering up with Smartworks as a model instead of just giving us a floor or any other flexible workspace, they are giving us that entire building because of our ability to recreate the campus that we have been able to successfully develop on the non-institutional side. So I think that is a very positive outlook, because they are opening up to our model. And in terms of financials, obviously, we now have the ability of negotiating with scale. And we are seeing the same sort of numbers that we are able to achieve on the institutional side as well.

Shamit Ashar: Got it. Thank you.

Moderator: The next question comes from the line of Yashovardhan Agarwal from IIFL Capital Services Limited. Please go ahead.

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Yashovardhan Agarwal: Yes, hi. Thanks for this opportunity, and I hope you all are doing well. Just a couple of questions from my side. So if you could explain the overall cycle of signing and operating a new center , let us say from s

elling LOI to occupying it, leasing it to our customers , how much time does it take for us to reach break-even occupancy and then for that center to reach maturity ? And relating it with the cash flow as well, that at what stage, how much cash is required , if you could explain that, please ?

Neetish Sarda: Sure. Absolutely. So we typically take a building about five, six months before the building is completely ready since Smart works is taking up large individual buildings and converting them into campuses. We do not look at a floor in a building or a part of a building. So the decision to take a

building first is driven by the demand from our existing client base. About 30 -35% visibility of the building's occupancy comes from the pre -demand that we have for that particular location. So we go ahead and only sign that building once we have that demand in place.

Once we take up a building, usually five to six months before the builder is ready to hand over the space, we sign the LOI , we start preparing the entire document for the building, the entire design deck, tech enablement, and start marketing the asset outside our existing customer base as well. On the day that we take up a building, that journey starts and lasts a month. It takes us about four months to do all the construction of the common amenities ; so we will build out the cafeteria, gym, your lounges, all your collaboration zones, sports zones , all of those amenities that you see in a Smart works campus , will all be built out in the first four months with the pre -occupancy which is already committed on a building, which is typically that 25 %-30% mark at least which starts in the first four months itself. From there, the journey is a 12 -month journey to get towards maturity. Within the first 12 -months, we get to about 65 -70% occupancy. We break -even at about 60% occupancy. So within the first 12 -months, we get to that 65 %-70% occupancy , and on an average, over the last few years, we have ramped up to about 90 %-plus occupancy in 14 -months. That is the journey that we have seen on an average for most of the centers in the last two to three years.

If you look at that trend, because of the brand value that Smart works has created and because of the larger customer base which is now expanding further and further, we are seeing that that pre -fill is happening much quicker and quicker, allowing Smart works in its unique model to take up even larger buildings because we are able to fill it up with our existing customer base or with 1,000 -plus-seater deals. Harsh had mentioned that 35% of our rental revenue comes from customers who are taking 1,000 -plus-seater seats in an office. It means that once they come and commit to these 1,000 -plus seats, our occupancy ramp -up happens much quicker. We are a pioneer in this. Despite having the largest operational footprint of over 9(3) million square feet today, we only have 760 customers occupying those spaces. So it means we are taking these large campuses, but we are also filling it up with large, sticky enterprise clients who are committing to much longer tenures, making sure that this model is more sustainable and predictable.

(3) 10 was mentioned in error. Figure corrected above.

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Yashovardhan Agarwal: Got it, sir. Pretty much helpful. And, sir, you did mention the cash flows part . When and where do we do the CAPEX and the security deposit , so could you please address that as well?

Neetish Sarda: Sure. So we usually give a security deposit six months before . 2-3 months before the handover is supposed to happen , we give about 1-2 months of security deposit to the landlord, and then on the handover, the remaining amount of security deposit is given. The security deposit is given for the entire building on the day of the handover, which is typically 3-4 months for Sma

rt works on the total rental for the building.

So if we are taking a building, say, for Rs.1000, we give Rs.300 to 350 of security deposit on day zero when the builder hands over the space to us. We then spend on the common amenities, which is typically 10 -12% of a building and the pre -committed space, which is about 25 -30% of the space. So 50%(4) of the entire CAPEX goes out within the first four months of the property being handed over to us. So if we are taking an 800,000 square foot building, we will deploy that initial 40 -50 crores to do that entire CAPEX for that building in the first four months itself, which is for the common areas and the pre -committed clients for the building. After that, we only build out the spaces once a client comes and commits to the spaces within those buildings. So we do not pre -build and keep any inventory. We only build it out as and when the client keeps coming in. So the CAPEX outlay is actually distributed. When the client is coming and committing to Smart works, they also pay us a security deposit. So on the security deposit arbitrage, Smart works actually negates the security deposit that we pay to our landlords. In fact, we get some top -up on that from the clients that come to us. And since we are only building out the space after the client has signed with us, they pay us a full security deposit even before we start construction. So we are able to manage our cash flows by doing that.

Yashovardhan Agarwal: Got it, sir. Thank you. Sir, in the initial remark, you mentioned that asset light model is helping us scale faster. So could you please touch upon that as well , because I think we are doing 100% of the CAPEX and it is just a state -of-the-art model , so what is asset light in that?

Neetish Sarda: Asset light, we mean, sir, that because we are not going ahead and buying these buildings, the capital which is required to be invested on CAPEX is only Rs.1,350(5) per sq. ft. CAPEX that we typically do to build out the interiors of the office spaces. That is only a fraction of the cost of the building.

Because of our scale, we have been able to reduce our CAPEX outlay significantly, which is one of the lowest in the industry and without compromising on quality for the customers, looking at the kind of customers that are coming into the Smart works ecosystem. Because of this ability, we have been

(4) 42 was mentioned in error. Figure corrected above.
(5) 1,300 was mentioned in error. Figure corrected above
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very, very capital -efficient. If you look at our growth, pre -IPO, we have only spent Rs.500 crores in equity that we have raised in order to build out the entire business and expand the company to over Rs.1,370 crores in revenue last year. This year, we are already seeing significant growth in the first half, growing from Rs. 664(6) crores in H1FY25 to nearly Rs.800 crores already in H1FY26 . So that asset -light model is because our CAPEX spend is so low that we are able to deploy with less capital, increase our footprint significantly, and we are not buying any of the assets.

Yashovardhan Agarwal: Okay. Thank you. If I look at your cash flow, I think it is around Rs.186 crores of CAPEX that we have done in the first half. So for how many fields would that be?

Anirudh Tapuriah: Thanks a lot for that question . Anirudh this side . As far as the CAPEX deployment is concerned, we have actually given a detailed breakdown on page #35 of our investor presentation, that how are we calculating our normalized gross block. And when you look at our normalized gross block, our H1 FY26 footprint was approximately 9.1 million square feet. So for 9.1 million square feet, our normalized gross block stands at approximately Rs.1,400 -odd crores. And this includes maintenance CAPEX as well for the centers which have actually completed around

three years.

Yashovardhan Agarwal: Okay. Thank you for that. And if I may ask one more question on the margin side. So currently, we are expanding very fast. I think there would be an impact from the new centers which are coming up as well, which are not mature yet. So sir, if I am looking at Smart growth, at a center level, what are the EBITDA margins that we could be making and post all the corporate expenses as a business, what could be the margins that we could be making?

Anirudh Tapuriah: So from a center level EBITDA margin perspective, what we have actually disclosed is around a 16.4% kind of a corporate EBITDA margin. If you look at our corporate cost, our corporate cost is around 8%. So from a center level EBITDA margin perspective, you can actually add both of them and it will come to approximately 23 % to 24 %-odd. That is the range where we are actually operating on a center margin.

Harsh Binani: And to add to Anirudh's point, that is at an overall level where the mature center margins are higher than the overall blended margin because there is an initial period where the new centers pull down the margin as they ramp up and become mature. So on a steady state basis, while we continue at a high growth pace, adding 2.5-plus million square foot every year, we expect that once the company hits the critical scale of 12 million square feet, which is going to happen in a year and a half from now. At that point, the denominator of the new centers will not likely pull down the overall margin and you will continue to see margin expansion happen in the subsequent quarters . With our increasing scale, operating leverage is playing out well at the center level and we continue to see efficiencies

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post-IPO both on our corporate cost as well as brokerage cost, both of which will reduce as a percentage of our revenue and also enable us to expand our margin. We have disclosed more of the details in our shareholder letter as well.

Yashovardhan Agarwal: Okay, sir. Thank you for taking my question.

Moderator: The next question comes from the line of Shiv kumar Prajapati from Ambit Investment Advisors. Please go ahead.

Shivkumar Prajapati: Hi, sir. Thanks for giving me the opportunity. So, sir, my first question is on the GCC front. So, right now it forms around 20 % to 25% of our overall flagship and obviously going forward as you highlighted at the initial remarks as well, it would form around 35 % to 40% of the overall flagship.

So, I just wanted to understand, are you calling out any specific plans to capture this demand going forward? Do these GCCs largely belong to BFSI, IT sector or some other sectors?

Harsh Binani: Certainly, thank you for the question. GCC is a core area of focus for us and today it accounts for more than 15% of our rental revenue. Interestingly, the GCCs are not limited to only IT /ITES clients. We have a very well diversified client base, which also includes BFSI, consumer, manufacturing and healthcare. And we are in fact seeing GCCs across the board in these sectors as well. We had mentioned that we expect the GCC revenue to double in the next couple of years. Keeping that vision in mind, we have launched a new product called "SmartVantage." What we are increasingly seeing from GCCs is that they prefer a one -stop solution where the offering is not limited to workspace, but

also takes care of their other needs, including onboarding, legal, compliance and taxation. So, we have added significantly large partners who are able to deliver this core service as well. And together with them, we do a joint GTM where all the needs, including staffing and workspace, get taken care of for GCCs. And today, we also have a presence not only in Bangalore and Hyderabad, we are truly a Pan India player. Our top six

cities contribute more than 80% of our footprint. So, in markets such as Gurgaon, Noida, Pune, Bombay, where we are runaway market leaders as well, we are continuing to see a lot of inbounds from GCCs. And therefore, this is going to be a Pan India multi-partnership model, which will help us double this revenue in the coming years.

Shivkumar Prajapati: My next question is, would you be able to share about the nuances zone-wise or city-wise? I just want to understand, is there any supply constraint or saturation in the market that you see going forward? And if you could explain us, like, which zone or city is more challenging to operate, something like that?

Neetish Sarda: So, if you look at our strategy of taking large individual buildings, what makes our model very unique and scalable is the fact that for Smartworks to grow at 2.5 to 3 million square foot every year, we need to add five to six buildings, considering the average size of buildings that we are taking now is 400,000 to 500,000 square foot. So in terms of supply, just because of the conscious choice of taking large format buildings, our entire portfolio today has over 12 million square foot with less than 60 Smartworks Coworking Spaces Limited
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centers, which means that these assets are large campuses, which allow us to create an entire ecosystem within these buildings, which is paralleled by none. We have this ability of creating a large gym, creches, cafeterias, all for our customers, which can be standardized for their requirements across the country. We realize that with this model, we have the ability of actually scaling in any part of the country. We are currently tracking multiple assets across different cities, and wherever we are seeing the most opportunity with respect to demand coming from our existing client base, that is where the maximum amount of capital deployment is going towards.

In terms of city growth, we have been seeing opportunities coming from almost all tier one cities of India. The top nine cities are actually seeing a significant amount of growth. If you look at our trajectory, with only 500,000 square foot of space in Mumbai up till four or five months back today, we have scaled up to almost 2 million square foot of space just in the region of Mumbai. So we are seeing a significant amount of demand coming in even from mature cities, where supply might be less, but because of our unique ability of taking up large individual buildings, we have been able to scale up that entire operations from 0.5 million to 2 million square foot with just two or three buildings. So supply is not a challenge for Smart works. When it comes to demand and cities where it is coming from, we are seeing a significant amount of demand coming from cities like Pune, Hyderabad, Bangalore, Noida, Chennai, which are in the development stage. More mature cities like Bombay and Gurgaon, there is some sort of a supply challenge there, but in terms of demand, there is a significant amount of demand coming from these mature cities now, because the supply is fairly limited compared to some of the developing cities. But with our unique model, we are able to solve that supply challenge.

Moderator: The next question comes from the line of Vandit Jain from Sage One Investments. Please go ahead.

Vandit Jain: So, my first question is around the cash flow. So, since we have seen a high cash outflow due to security deposit for the East bridge Center, now, when we get the security deposit from the customers, does that happen when the demand commitments come in or does that happen when we get the center, let us say, in Q3 FY27, so, when the cash inflow is expected to happen?

Neetish Sarda: So, that also typically happens two, three months before we even hand over the asset to the customers. Usually, the deals with the customers would get signed closer to the handover of the

building before

we start deploying our capital. Currently, the capital outflow or the money which we spend is only towards the security deposit that we have given for the building. Once the existing customers are looking at the building, we sign up the building; closer to probably three, four months before we hand over the building, they give us their security deposit, so, you start seeing that inflow coming in much before we start spending on the fit-out for the client. So, there is a little bit of a mismatch just because we are now looking at blocking supply for FY27. For most of these years, pre-IPO, Smart works was looking and growing at a pace in which we were blocking the supply only for this year. Now, with our scale and with our ability to take these large campuses, we are not only blocking supply for the Smartworks Coworking Spaces Limited
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same year, but we are also going ahead and blocking supply for the next year. Since our IPO, we have gone ahead and signed more than 2.7 million square foot of space. And that is where some of the security deposit outflow has gone. But you will start seeing realization of security deposit three to four months before the property is handed over to us by the landlord, and much before we start spending towards the CAPEX for the customer.

Harsh Binani: And to clarify and add to Neetish's point as well, the security deposit is not specifically only for Hiranandani. In the quarter that has just gone behind us, we have added and paid security deposit for more than 2 million square foot. And as Neetish has clarified that the entire security deposit for properties which are going to get handed over follow a time-based milestone approach. It is not paid out on day one. It is paid over a period of time. While there is a mismatch, that mismatch is also offset with a lot of demand security deposit, which will also start to come. So, I just wanted to clarify the 2 million square-foot point which has driven the security deposit outgo in light of the immense growth opportunities that we are seeing ahead of us.

Vandit Jain: Got it. Understood. And my second question is around the blended occupancy level. While for mature centers, you mentioned it is around 88%, but at blended level, it is down to about 81%. So, any color in that and any indication going forward, how we should see that number?

Harsh Binani: Thank you for that question. We have mentioned more details about it in the shareholder letter, but the 81% is overall at a blended level where the denominator is also playing a factor because we have added significant capacity, which has brought it down. Our mature centers today are at 88% with a committed occupancy of 93%, and our overall committed occupancy is also close to about 87%-plus. So, that is the sort of visibility we already have today.

Regarding the occupancy, what is unique to Smartworks is the fact that we not only have a higher average occupancy, but the occupancy remains high for a sustained period of time, providing a high level of visibility in terms of our revenue and cash flow. Hope that answers the question. Thank you.

Vandit Jain: Got it. Thanks.

Moderator: The next question comes from the line of Vikrant Kashyap from Asian Market Securities. Please go ahead.

Vikrant Kashyap: Sir, good morning. My first question is on your churn. So, you did mention that your churns are higher and you would see a healthy churn going ahead and these are related to your COVID time occupancy. I just wanted to understand that does this churn has been opted by you to let the client go or the client decided not to renegotiate the rental at the current levels and how has that deal happened, and even if we are going to see healthy churn going ahead, and so when this occupancy will come up and this retention rate will come to a normalized level?

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Neetish Sarda: Sure. So, if you look at our retention, the retention stands at 74%, but if you look at our committed occupancy as Harsh has already mentioned for these centers, they are already at about 87%-88%. So, while these churns have happened for clients who signed up with Smartworks back in 2020 and 2021 because we have a four-to-five-year tenure with most of these customers, it is a voluntary churn that Smartworks is doing for customers who are paying at a number which is below what others are paying at in the market today or other customers of Smartworks are paying in a particular building.

This churn is going to happen; this voluntary churn is good for the company because you will see this happening over the next few quarters, especially for a lot of clients which were signed during the first two phases of COVID and are all coming up for renewal at this point of time. So, clients who are willing to expand or willing to increase the pricing and get to today's level, we are going ahead and renewing with them. But then there will be certain clients who have scaled up significantly and economically it might not make sense for them to be in that particular location. We are also trying to see if we can take those clients and move them maybe to a different location in the city and reduce the cost for them.

You will see churn coming in over the next two to three quarters, because it is a timeframe which is four to five years after COVID. Either those clients will go ahead and pay more or they will be shifted to a different center or they will downsize. In all these three cases, you will see that churn number getting impacted. But with that, you should also look at the committed occupancy. The committed occupancy stands at 88%. So, it means that even if the client is churning out, we are immediately finding a different client to come and take up that space.

Vikrant Kashyap: Yes. Thank you for the clarification. Two more things. One, your other operational revenue has doubled compared to last quarter. So, can you please give us some details of the components of the revenue, and are they sustainable? And my last question is you have just reduced your number of city presence to 14 from 15 in the scenario where every player in this space is increasing their presence to multiple cities. So, what is the rationale behind that and how should you look at your expansion into newer cities? Thank you.

Anirudh Tapuria: Thanks a lot, Vikrant. As far as the detail on other revenue is concerned, in Q2 FY25, our other

revenue stood at approximately Rs.28-odd crores , it has increased to Rs.45-odd crores in Q2 FY26. Out of this Rs.45-odd crores, revenue from FAS services contributed to approximately Rs.20-odd crores and revenue from ancillary services contributed approximately Rs.25-odd crores vis-a-vis the same numbers in the previous year were Rs.16-odd crores for revenue from FA AS and ancillary was Rs.12-odd crores.

Vikrant Kashyap: Okay. So, these numbers are sustainable?
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Anirudh Tapuriah: These numbers are at a significant pace. If you look at these numbers, they have already grown by 25%-30% and we are seeing these numbers over the next few quarters is in fact going to expand even more.

Vikrant Kashyap: And a clarification on your contraction in the presence of cities , that will be helpful ? Thank you.

Neetish Sarda: The presence of cities also depends on the kind of traction that we are getting. You are seeing us increase our footprint more and more in tier one cities. We were in a situation where in one of the tier 2 cities, the building that we work with could not allow us to scale further. So, we have gone ahead and started looking for buildings which is much bigger in size. It is one particular building in Jaipur where we would not have a scala

bility option and we have to move into a larger individual setup. And that is why you will see that reduction. But in fact, in the coming few quarters, you will see us increase our footprint by getting into a couple of other tier 2 cities as well.

Vikrant Kashyap: Okay. Thank you and best of luck.

Anirudh Tapuriah: I just wanted to add one more aspect as well. Jaipur, which Neetish mentioned, contributed just 49,000 -odd square feet.

Vikrant Kashyap: Okay.

Neetish Sarda: And just to add to the guidance that we have, if you look at last complete year, we were at about Rs.20 to 25 crores of revenue from that business this year. In the first half itself, it scaled up to about Rs.40 crores. You will see this number scale up over the next few quarters and there is a FAAS guidance which we have also given in the presentation.

Vikrant Kashyap: Thank you, sir.

Moderator: The next question comes from the line of Aayush Saboo from Choice Institutional Equities. Please go ahead.

Aayush Saboo: Yes, congratulations on a robust set of numbers and the new deal signed. Could you just throw more light on the SmartVantage concept that we have introduced like how would this flow into our revenue and what is the likely growth that we could see from the same?

Harsh Binani: Thanks, Aayush, for the question. SmartVantage was a new offering exclusively built for GCCs who are looking for agility and speed. As you know, we are able to deliver offices very quickly. And GCCs will be driving about 40 to 45 million square foot of incremental new office demand in the next two years. And in light of this large incoming demand, we have also now tied up with several partners who provide complete end-to-end solutions which a GCC requires. So, SmartVantage will not only take care of their workspace needs, but through our partners, take care of needs of staffing, Smartworks Coworking Spaces Limited
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legal, tax, compliance , and onboarding . Although the offering is currently still new and it is in its infancy stage, we expect that our current GCC rental revenue of 15% will likely continue to double in the next few years in light of the new offering that we have launched. And this will not only take care of new GCCs which are coming, but given the large suite of GCC clients that we already have in-house, we are also actively exploring expansion opportunities with them across our pan-India footprint.

Aayush Saboo: Okay . Thank you. So, I just wanted to clarify the revenue from this SmartVantage segment, would this come under our normal managed office portfolio business or would this come under an ancillary service or a new revenue stream ?

Harsh Binani: It will be coming in the primary revenue , not separately.

Aayush Saboo: Okay, okay. Thank you, sir. And just one more point I wanted to clarify. So, the center-level EBITDA margins post-corporate overheads would come in the 23 %-24% range like, what would be our center-level EBITDA margins if we factor in the corporate overheads too?

Neetish Sarda: If you look at blended center-level margins, our normalized EBITDA stands at about 16.4% with approximately 8% of corporate cost which is coming in. There is also a customer acquisition cost of brokerage that we paid. So, if you look at our blended center-level margins, they are closer to between 26-30% because there is a mix of mature and immature centers. With more immature centers coming up, they drag our profitability on the center level a little down for the first 8 -12 months because that

is all your costs have started, but your revenues take a little bit of time to ramp up. But despite the high growth that Smartworks is seeing, you will see that our margins are still being sustained and we have grown from 13.4% in the same quarter last year to more than 16% this year on a normalized EBITDA.

Aayush Saboo: Okay, okay. Thank you. All the best for your future.

Moderator: The next question comes from the line of Utkarsh Somaiya from Eco Quantum Solutions Pvt. Ltd. Please go ahead.

Utkarsh Somaiya: Thank you for the opportunity. I wanted one data point. For the first half of FY26, can you tell me Pan India the supply and the absorption numbers for flexible workspace? And if it is tier 1, tier 2, you can bifurcate that would be great? If not, you can give me a pan-India number?

Harsh Binani: Thank you for the question. Just to clarify, is this for the industry or Smartworks?

Utkarsh Somaiya: Industry, but you can also give me Smartworks' number.. I want to understand how strong the demand is versus the supply, hence, I want absorption numbers and incremental supply numbers.

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Harsh Binani: So look, just to provide you a macro perspective, the industry estimates vary depending on where it comes from. But office leasing has had a record high over the last few years and we have seen upwards of 70 million square foot of absorption. Within this consistently flex space has been doing more than 20% to 25% of the absorption. So it continues to be a major driver of overall growth of office market, which has been going very steadily. So, you can expect very easily upwards of between 15 to 18 million square foot of new flex space absorption every year. So that is the broader macro number. And within this, obviously, you have several players as well as everyone's different strategy based on the supply absorption. So that is the context. And from Smartworks point of view, we have 1 million square foot of new supply going live in H2 and about 1.4 million square foot of supply maturing during this time period, which will drive incremental margin in H2 for us.

Utkarsh Somaiya: Okay. So you said you expect 15 to 18 million square feet of new flex space absorption each year like FY26, FY27, FY28, is that what you meant?

Harsh Binani: That is right.

Utkarsh Somaiya: And what is the same number for the H1 FY26? See, I have the numbers till March 2025 from the RHP. But from March '25 to September, can you give me the flex space absorption number for the industry?

Neetish Sarda: It is approximately the same number. There is nothing being published right now. So we will have to come back on that and we can try to pull that out. But the projection for the first quarter, if you look at the first half of this year, in terms of total real estate demand, the year was projected to be about 70 million square foot. We have already crossed about 48 million square foot in the first half itself. So H1 has seen a significant increase in demand. Typically, H2 does better than H1 in most scenarios. But this time, we have seen a significant jump in H1 coming in. Almost 25% to 30% of that has come from flex. And this might not be the exact number, but this is the predicted number of about 25%, which is there. We can try to pull up some of the industry documents to see if someone has projected the first half of this year and the total flex demand that has come up, but it should be around that 25% to 30% mark.

Utkarsh Somaiya: Would it be fair to assume that the absorption is either equal to or more than the incremental supply for the industry?

Neetish Sarda: I can comment for Smartworks. And for us, if you look at our total demand, our committed demand stands at over 88%. So while we are going ahead and growing at the pace at which we are adding more than 2 million square foot, which we have already done in the last few months itself, still our committed occupancy stands very, very high at about 88%. So while we are taking these assets, we are also seeing customers come and take these assets from us, making sure that our committed occupancy is steady. So yes, at least for us, we can say that the properties that we have taken out of Smartworks

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the 18, if we have gone ahead and taken 2 million plus square foot, that 2 million is standing at about 88% committed occupancy.

Utkarsh Somaiya: Okay. Thank you so much and best of luck.

Moderator: The next question comes from the line of Sourabh Gilda from JM Financial. Please go ahead.

Sourabh Gilda: Congrats on signing the largest center in Mumbai. Just wanted to get your comments on the demand for large spaces. You highlighted that the size of deal signings are increasing sharply and it is also

reflected in contribution from 1,000 plus cohorts. So there has always been a thought that after enterprises grow to a certain point it may make sense to switch from a flex to a conventional office center, but that is clearly not the trend given your numbers and your comments on the size of the deal that are taking place. So, if you can just throw some light on what is the thought process from a tenant perspective in terms of signing a flex space?

Neetish Sarda: Absolutely. I think, tenants are not just looking at flex space as an option till they get to a critical scale. If you look at Smart works campuses, while Hi ranandani building in Vik hroli is now our largest campus, we have multiple campuses which are already operational and standing at 90 %-plus occupancies across the country. We have buildings like AP 81 in Pune, Malpani Agile in Pune, 43 in Pune, Vaishnavi Tech Park in Bangalore. These are all massive assets of 650,000 square foot plus buildings, in which more than 10,000 people come on a day -to-day basis to work. So these assets are something that Smart works has created via this model in which our ability to take up these buildings and transform them into campuses is shown off. So when a customer comes and they take space in this building, they are not just looking at flexibility, they are looking at for the value pricing in terms of costing, they are looking at getting a standardized experience for their employees across different cities; whether they take 200 seats in a location or 1,000 seats in a location, their employees will get access to the similar size of a gym, cr eche, cafeteria, all of the common amenities that are required. So while flexibility is typically there in co -working and in back -to-back deals, with Smart works, most of the tenants who are coming are looking at us as Pan India partners, scaling their businesses across offices across India and moving them into Smart works centers. How I can demonstrate this is if you look at our numbers, we have over 760 clients currently, which is a much smaller cohort of clients. While 760 is a large number, it is much smaller compared to a lot of co -working demand that comes where the number of clients might be in thousands. So our clients look at Smart works as a Pan India partner. They are moving not only their offices in a p articular city, but they are moving their Pan India portfolio into Smart works centers just because of the pricing, just because of the flexibility, because of the amenities that their employees are getting, and the fact that we can give them that scalability option to grow from 100 to 1,000 to 2,000 within these campuses or within campuses of Smart works, where they do not have to worry about managing and running their offices anymore. This metric is something which is very, very unique to Smart works.

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Sourabh Gilda: Got it. And just as a follow -up, when you say contribution of 1,000 plus may increase, it may not necessarily mean that this 1,000 plus is at one location, right, from the same client across your portfolio?

Anirudh Tapuriah: Yes, it is in multiple cities.

Neetish Sarda: It is in the same location, but there might be deals which are 1,000 -plus, the same client might be sitting in two different cities with 1,000 -plu

s teams. So, it is a mix of both.

Moderator: The next question comes from the line of Vandit Jain from Sage One Investments Manager, LLP. Please go ahead.

Vandit Jain: I had just one more question. Around the blended per -seat rental that we are getting, it stands at around Rs.7,500 for the occupied seats. So, with the churn that we have seen in this quarter, do you think that number could go up or any color on that?

Anirudh Tapuriah: From a per -square feet pricing perspective, Vandit, our blended revenue realization stands at approximately Rs.175 as far as Q2F Y26 is concerned. When you look at the numbers for example, in the last year, say it was around that Rs.160, Rs. 165 kind of a mark.

Harsh Binani: So, on a go -forward basis as a function of increased occupancy as well as the rentals reflecting the current market reality, you should expect to see the realization per -square foot continuing to go up.

Vandit Jain: Okay. Got it. Thank you.

Moderator: Ladies and gentlemen, due to time constraint, that was the last question for today's call. I would now like to hand the conference over to Mr. Harsh Binani for closing comments.

Harsh Binani: Thank you very much for attending our second earnings call after listing. We are very grateful for your time and we have this time also shared an additional shareholder letter which we thought will answer a lot of the pressing questions that you might have on the industry as well as on Smartworks. So, this is our humble attempt to address some of those perspectives and we look forward to continuous robust growth in the coming quarters and again engaging with you for our next earnings call. Thank you very mu ch.

Moderator: On behalf of Kotak Institutional Equities, that concludes this conference. Thank you for joining us and you may now disconnect your line s.

(This document has been edited for readability purpose)

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Q3 FY26 Earnings Conference Call "
January 16, 2026

MANAGEMENT : MR. NEETISH SARDA – MANAGING DIRECTOR
MR. HARSH BINANI – EXECUTIVE DIRECTOR
MR. SAHIL JAIN – CHIEF FINANCIAL OFFICER
MR. ANIRUDH TAPURIAH – CHIEF STRATEGY AND
INVESTOR RELATIONS

MODERATOR : MR. SOURABH GILDA – JM FINANCIAL
INSTITUTIONAL SECURITIES LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Smart works Q3 FY26 Earnings Conference Call, hosted by JM Financial Institutional Securities Limited. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions, and expectations of the company as on the date of this call. These statements are not the guarantee of future performance and involve risk and uncertainty that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star, then zero on your touch-tone phone. Please note that this conference is being recorded. I now hand over the conference to Mr. Sourabh Gilda from JM Financial Institutional Securities Limited. Thank you and over to you, Mr. Sourabh.

Sourabh Gilda: Hi, on behalf of JM Financial Institutional Securities, I welcome you all to the Q3 FY26 Earnings Call of Smartworks Coworking Spaces. On behalf of Smartworks, we are represented by the Senior Management, Mr. Neetish Sarda, Managing Director, Mr. Harsh Binani, Executive Director, Mr. Sahil Jain, Chief Financial Officer and Mr. Anirudh Tapuriah, Chief of Strategy and Investor Relations. I would now like to hand over the call to Mr. Neetish Sarda for his opening remarks. Thank you.

Neetish Sarda: Good afternoon, everyone and a very happy new year.

Q3 of FY26 marks the strongest quarter in Smartworks' journey and a clear shift into a compounding phase, where growth, margins and cash flows are improving together. At our scale, Smartworks is no longer a short-cycle occupancy business. We are an execution-led enterprise infrastructure platform built on four pillars -- sustained growth, predictable annuity-like revenue, a structurally low-cost model and a self-funded expansion. This positions us for durable and multi-decade relevance.

Let me briefly touch upon our performance and operating margins before handing over to Harsh for the growth drivers and financial outlook ahead.

During the quarter, revenue grew 34% year-on-year to INR 472 crores while normalised EBITDA increased 86% year-on-year to INR 85 crores, with margin expanding to almost 18%. Importantly, this was a PAT-positive quarter under IND AS and normalised operating cash flows exceeded normalised EBITDA with an OCF to EBITDA ratio of 1.2x, operating cash flows standing at INR 101 crores. These outcomes reflect the inherent operating leverage and cash-generating capabilities of our platform.

Our growth today is firmly anchored in enterprise demand. In Q3, enterprise clients continued to contribute approximately 90% of the rental revenue, with 35% of the rental revenue coming from large-format requirements of over 1,000 seats. Rental revenue from multi-city clients continues to be more than 30%, reflecting how large occupiers increasingly consolidate their workspace needs across locations through our reliable platform.

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At this scale, the flex workspace sector becomes an execution business. Our ability to secure large campus -style assets and execute them at speed creates a flywheel of higher occupancy, improving margins, and increasing return on capital. Equally important is revenue stability. Our client base is well -diversified, and today our top 10 clients contribute only about 21% of our rental revenue, a figure that has steadily declined even as deal sizes have increased. This enhances visibility, reduces concentration risk, and supports long contract tenures. On the supply side, we now have clear visibility for growth over the next several years. We have secured

100% of our supply for FY '27, with substantial progress already made for FY '28. We continue to see strong demand -led execution, with LOIs signed for more than 1.62 million square foot during the quarter and are committed to a sustained growth trajectory of 3 million square foot per year.

Committed occupancy at our operational level rose to 92% from 88% quarter -on-quarter, securing over INR 4,700 crores in committed revenue across our 9.2 million square foot of operational centres.

As these centres continue to ramp up to full maturity and new centres become operational, we expect to capture significant additional revenue over and above this figure, further accelerating our top -line growth. As our platform matures and the base of centres expands, growth increasingly becomes self -funded. At scale, Smartworks can sustain 25% to 30% annual growth without any incremental equity raised.

To summarize, Q3 FY '26 demonstrates that Smartworks is no longer just scaling, we are compounding. With a structural advantage, cost -based, enterprise -led demand, deep supply visibility, and strong cash generation, we believe we are well -positioned to deliver a superior long-term outcome for shareholders.

I will now hand over to Harsh to take you through the financials in more detail.

Harsh Binani: Thank you , Neetish, and good afternoon , everyone.

As Neetish highlighted, Q3 FY '26 marks an inflection point where the structural strengths of the Smartworks model are clearly visible in our financial performance. We operate at the intersection of flexibility and infrastructure, with long -tenure enterprise demand, annuity -like revenues, and disciplined capital deployment at national scale.

In Q3 FY '26, revenue increased to INR 472 crores, up 34% year -on-year, and 11% sequentially. The growth was driven by higher enterprise occupancy and ramp -up of our recently delivered centres. Normalized EBITDA rose to INR 85 crores, with margins expanding to approximately 18%, which is a bump of over 150 bps within the quarter.

Importantly, this margin expansion was achieved without any material pricing action and was driven almost entirely by operating leverage and cost discipline. As we scale, corporate overheads remain low and stable, while brokerage and operating costs continue to trend downwards, spread over a larger base, reinforcing margin expansion.

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The core of our financial model lies in centre -level economics. Mature centres operate at around 93% committed occupancy, with stable revenues and strong cost control. Conceptually, our mature centres exhibit a margin of greater than 27%, largely driven by higher durable occupancy and tight cost control without necessarily compromising on tenures or any pricing action. The ROCE continues to expand meaningfully after the expiry of each payback period. For more details, please refer to our shareholder letter. As new centres ramp up, they do not dilute our margin. Once a centre crosses its breakeven point, incremental revenue flows disproportionately to EBITDA. As the share of mature centres increases, this effect strengthens driving compounding at the portfolio level. This dynamic is clearly reflected in our improving ROCE, which continues to rise as capacity seasons and renewals kick in. Normalised operating cash flow remained robust at INR 101 crores, translating into an OCF to EBITDA ratio of 1.2x. This reflects enterprise -led billing, high -quality receivables, and minimal working capital volatility. Our ROCE has significantly jumped by more than 600 bps(1), expanding from 14.3% to now just under 21%. And we see significant headroom for the ROCE expansion to continue in the foreseeable future.

During the quarter, our credit rating was upgraded by two notches to A -Stable, reflecting the strength of our balance sheet and the cash flow

profile of our enterprise clients. Following this upgrade, our cost of borrowing has further reduced and is now amongst the lowest in the industry. We have been pioneers of introducing cash flow-backed lease rental discounting facilities with top financial institutions. For more details, refer to our earnings presentation. As we enter Q4, we expect further growth driven by the operationalization of approximately 1

million square feet of new supply and continued maturation of existing centres. We will also see a Board expansion to further strengthen our corporate governance and help us as we scale up to the next leg of our journey. While managed offices remain the co-driver, ancillary services such as Fitout-as-a-Service will increasingly support revenue growth and margin expansion as scale deepens.

In closing, Smartworks is transitioning from a growth-led phase to a high-velocity, cash compounding phase characterized by expanding margins, rising returns on capital, and increasingly self-funded growth.

With that, we are happy to take your questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Karan Khanna from Ambit Capital.

Karan Khanna: Hi, team. Thanks for the opportunity. Just a couple of questions from my side. First, GCC has contributed over 15% of rental revenue this quarter. With SmartVantage platform now becoming live, how have the nature of your conversations with global fortune 500 prospects changed? And are you seeing higher average deal sizes for GCC-focused deployments compared to standard enterprise clients?

(1) 800 was mentioned in error. Figure corrected above.

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Harsh Binani: Thank you, Karan, for the question. GCC continues to remain a very, very important driver for growth for the next three years. With the launch of SmartVantage, we are already starting to see very good momentum and traction. The conversation with a lot of our large enterprise has now moved away from space to the more holistic solution that the SmartVantage platform offers.

And this is already starting to show meaningful results on ground.

In the last nine months, the company has signed over four large mega GCC deals, which are over 1,000 seats plus. And these are well diversified across Europe and America. We expect that these numbers will continue to go up. And over the next three years, as the GCC wave continues in India, we are well positioned to take advantage. And during this course, SmartVantage platform will also continue to evolve.

Karan Khanna: Harsh, just a second question on the Q3 supply. So, with 2.6 million square feet, which was added just in the third quarter, your total super built-up area has already reached 15.3 million square feet. So how much of this new capacity is already pre-committed or reserved via LOIs?

And what is the expected ramp-up time to reach the company-wide mature occupancy of 88%?

Neetish Sardar: So Karan, the beauty of our business is, whether we take up a 400,000 square foot campus, a 100,000 square foot campus, or a 800,000 square foot campus, the ramp-up time to get to an occupancy of about 80%, 85% is similar across all the centre sizes.

With Smartworks' unique ability of taking up mega campuses, with some of the deals that we've signed recently with the Hiranandani deal that we did in Vikhroli, we're seeing that both on the demand and supply side, growth is easier because we only have to take up one or two assets to get to the target number that we're targeting for every quarter.

As far as visibility towards demand is, now we're in a phase where we're demand-led. Almost 30% to 35% of a building is pre-committed, driven by the interest generated from our existing clients before we go ahead and take a new building. That's why if you look at the 1,000-plus

-

seater deals, or if you look at the number of clients who have done multi-city deals with Smartworks, that has constantly been increasing.

We're closer to about 31%(2) in terms of multi-city deals, as well as 1,000-plus-seater deals. You will see this being a unique factor for Smartworks increasing quarter-on-quarter. In the past, as well as in the future, you'll see these numbers increase significantly. But we have significant visibility towards the demand.

Karan Khanna: And my last question, you reported a notable improvement in seat retention rate to 93% this quarter, up from 74% in Q2. Was this sharp increase due to a specific large client renewal cycle?

Or are you seeing a broader trend of clients moving towards longer lock-in periods?

(2) 35% was mentioned in error. Figure corrected above.

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Neetish Sardar: I think it just coincidentally happened that the last quarter happened to be around the 40, 45-48

month mark from COVID. We did a lot of deals during COVID which we wanted to renegotiate and bring up to market terms. I think having a retention rate closer to about 85 %-plus is something that you'll continuously see. There might be one or two quarters of abnormal numbers just because in that particular quarter, there might be a few deals that fall, but overall retention across the entire organization, if you look at our past data, as well as what we are projecting for the next few quarters, will be 85 %-plus.

Moderator: The next question is from the line of Mohit Agarwal from IIFL.

Mohit Agarwal: Yes, wish you all a very happy new year and congratulations for a great set of numbers. My first question is, if I look at our revenue mix for the quarter, the other operating revenue, which typically would have the VAS and the FAAS component, has grown meaningfully from about INR 22 crores to INR 66 crores. So, could you give some breakup and color on that and how is the trend looking forward? That's my first question.

Anirudh Tapuria: Hi, Mohit, Anirudh this side. As far as our breakup of VAS revenue or FAAS revenue is concerned, that was at around INR 27.54 crores and others were a mix of multiple items under ancillary.

Neetish Sarda: So Mohit, our ancillary revenue growth is because of the base of properties increasing to over 10 million. The existing property's occupancy is going up. The ancillary revenues or the supplementary revenues that we generate from our existing building have also gone up significantly. I think VAS or Fitout-as-a-Service as a vertical is still a very small part of the total revenue. It still only stands at about INR 27 crores for the quarter.

Mohit Agarwal: And in your shareholder letter, you do mention that there's going to be a sharp ramp-up. Any kind of any outlook you can give or any guidance that you have for the next couple of years? How large can that segment be?

Neetish Sarda: So, I think with the footprint growing 30 %-35% growth and that is also something that we can easily predict going forward because this is without any new verticals getting added. Just the footprint growth is allowing us to grow at these numbers.

We are also figuring out if there are other ways of improving the VAS margins. But currently what we can indicate towards is that with the footprint growth of about 30% -35%, the ancillary revenue will keep going up by 30% -35% year-on-year.

Harsh Binani: And to add to Neetish's point, Mohit, we've also clarified in our shareholder letter and in our prior conversations that FAAS and ancillary revenue will scale selectively over the next two years, primarily linked to the new enterprise and the GCC deployments rather than being a standalone growth driver.

Our focus remains on annuity rental revenue with ancillaries providing incremental high margin upside without increasing our volatility. And impor

tantly, we've also clarified that our VAS only
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has the take rate recognized in the revenue, keeping our earnings quality and cash visibility very stable.

Mohit Agarwal: Yes, sure. So that is well understood. So, when you're talking about take rates, how would the margins be different? So, if you could, let's say for blended margins is 18%, what would be the margins on VAS if you could share that?

Harsh Binani: So, our VAS, as we mentioned, only the take rate is recognized. The margin profile of VAS is significantly higher than our core business, given that there aren't any incremental costs associated with it. But again, we are starting with a very small base currently, and you will start to see this ramp up meaningfully over the next two years. And it continues to be very asset light, both FAAS as well as VAS.

Neetish Sarda: And I think for us, Mohit, we'll treat the VAS as something that is more predictable also in our case, because this is something which is getting generated on a regular basis where the amenities that we provide within the building is what is driving most of this growth.

And with our occupancies increasing, this consumption within buildings will automatically keep growing up. So as Harsh mentioned, there is not a lot of cost attached since it's only a take rate and we get that. But growth will also be driven because of the occupancy growth within the buildings.

Mohit Agarwal: My second question is on the overall margin outlook. Like on a year-on-year basis, it's gone up from 13 % to 18 %. And Harsh mentioned in his opening remarks that the corporate overheads are stable and brokerage and everything is also trending down.

So how do we see as your occupancy converges towards your committed occupancy? How do we see these margins? Or where do we see these margins stabilizing, let's say, one year out? If there is any directional guidance that you want to give, that will be helpful?

Harsh Binani: Sure, Mohit. So, over the next two years, margins are expected to expand structurally quarter-on-quarter, driven by our portfolio maturity, our higher committed occupancy and operating

leverage, and not necessarily our pricing action. You've seen in our business model that our occupancy has always been durable and holding well even during downturn, COVID. So that is one of the primary drivers.

And we have also ushered in a lot of new operational excellence initiatives. So, in the next two years, you will start to see energy efficiency, solar gains, etcetera, all come in. During this period, our corporate cost is not expected to go up meaningfully.

And in fact, because we are a PAN -India platform, we have our corporate teams as well as centre teams staffed everywhere. So, as we increase our footprint across other cities, you will not see that to be an investment and a drag on our margin. Therefore, do not expect volatility in our margins going forward.

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And as a larger share of our centres move into maturity, this will allow incremental revenue to flow disproportionately to EBITDA. So therefore, margin expansion should be very steady and predictable without volatility.

Anirudh Tapuriah : And just to add to Harsh's point, on Slide 16 of our investor presentation, we have given a detailed breakdown of our capacity maturing. Our matured capacity stood at 7.8 million square feet as of December 25, which is expected to go up to 10.2 million square feet by the time we hit March 27.

Neetish Sarda: Just to summarize, I think we also mentioned that now we've entered a compounding phase where the new centres which are getting added are significantly smaller in ratio of our matured centre because of which the new centre's drag on profitability is not going to be as effective.

That's why you'll see

the margins continuously increase. So, a mix of operational excellence, as Harsh mentioned, maturity of new centres as Anirudh mentioned, and the fact that compounding effect is now kicking in, all three will drive margins higher.

Mohit Agarwal: So just to summarize, if your mature centres are doing over 27% margins, your blended portfolio today is 18%; You basically see the trend going closer to that level, maybe in the 20 to 25 mark.

Is that the right assumption to make?

Neetish Sarda: Predicting those numbers might be a little difficult. We can't comment on those numbers. But what we can say is continuously, the increment is continuously happening. It is because of the compounding effect of more mature centres getting added and the new centres being a much smaller portion. So, when will it happen? It's a little difficult to really map that out. But volatility in our business is very, very low. And predictability on cash flows is very, very high. So that's allowing us to continuously grow the margins.

Mohit Agarwal: Just one last question. You've given the INR 4,700 crore committed rental number. Is it possible to share within this how much is locked in? Out of this INR 4,700 crore s?

Anirudh Tapuriah : Sure. It will be approximately in excess of INR 2,500 -odd crores.

Harsh Binani: And our retention rate, Mohit, as you are aware, has remained very high over the last three years. So, we use the committed rental revenue as a healthy parameter to measure particularly our asset liability mismatch, which for the next two years is completely eliminated as well. And we'll continue eliminating going forward.

Anirudh Tapuriah : Just a small update. Sorry. Currently, it stands in excess of INR 3,100 -odd crores.

Moderator: The next question is from the line of Pradeep RS from Spark Capital.

Pradeep RS: The first question is on the seat under fit -out, which is currently 9,000 seats, whereas we are guiding around 23,000 seats will be added by the Q4. So how this gap will be filled? So, the seats which are yet to be handed over, are we expecting it will come live by mid of Q4 ? That is my first question.

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Anirudh Tapuriah : Yes. When you look with respect to the seats which are going to come over, we've given a breakdown in our investor presentation that approximately 1 million square feet is going to get operational in the next quarter itself. And then gradually for new LOIs taken *, when these are yet to be handed over, you will see it continues to move towards under fit out, and incrementally it will move to operational footprint.

Harsh Binani: And to your question on the gap, this is going to be filled through a combination of pre - committed enterprise movements. Neetish had clarified earlier that about 30% is a pre - commitment as we take larger campuses. We already have a very healthy pipeline of LOIs already signed and we are starting to see more traction on the expansion from our existing multi - city clients.

Basis of this, we have a very strong visibility already in place. It's not necessarily an empty capacity, and you'll see it ramp up in an orderly fashion with new centre sizes. In spite of it being of a significantly larger size, we are not seeing too much difference in terms of the ramp up months.

Pradeep RS: So, secondly, I just want to understand more about the supply sourcing strategy. As you said, like 30% of say the incremental capacity would be committed by tenants. So, is it like once they give commitment, then we will go on such a supply? Or is it like the supply currently in pipeline already has 30% say commitment from client? So, to understand more about how we manage this demand supply incrementally as we go forward.

Neetish Sarda: So, I think our supply acquisition strategy is to go deeper in micro markets where we are seeing most of the

demand coming from our existing customers. Before going into any of the new centres, our existing customers are the first level of check to get a sense of where the expansion is coming from. It necessarily doesn't mean that there is a pre-commitment from the customer on the building the day we sign it, but it is an indicative commitment towards where their business is growing. How you should look at this detail is with the number of months that it's taken us, despite the larger buildings that we've taken.

So, despite taking up 400,000, 500,000, 600,000 square foot buildings, we're still able to get to that maturity mark within the first 12 months itself, which is what we're continuously demonstrating across all the small, large, and mid and large formats of centres that Smartworks is taking.

So, there's necessarily not a back-to-back deal that we go after, but it is an indicative demand from our existing customers, which in most of the cases does get converted just because of the value proposition that we have given back to our customers.

Moderator: The next question is from the line of Murtuza Arsiwalla from Kotak Securities.

* Added for the purpose of readability.

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Murtuza Arsiwalla: Hi. Congratulations. Just one question, just again, further delving into that other revenue outside of the lease rental. Could you be able to give us a sense of what would be the EBITDA flow-through and the adjusted EBITDA from that INR 60-odd crores? What would be the approximate EBITDA against that?

Neetish Sarda: I think if you break that down, F AAS obviously has a certain margin that you work on. If you look at the ancillary revenue that is coming in, Murtuza, that doesn't attach a lot of cost to it. Those costs, we don't track it separately because those are usually the building costs, which would be included in the electricity rentals and some of the other aspects of the building itself. So, to bifurcate that might be difficult.

Having said that, just to reiterate what we had mentioned earlier, these ancillary revenues are not something that has happened this quarter. It is something that is continuously growing. It will automatically be there because of the high occupancies that are there in the building. Most of the revenue comes from services which are dispersed within the building on a day-to-day basis, things like food, parking, internet, which is consumed by the users on a day-to-day basis. So, giving a separate number, it might be a little difficult. What we can say is that the take rate is what we account for and not the entire revenue. The GMV for this would be about at least eight to nine times of the figure that we've reported because our average take rate is between 10% to 12%.

Murtuza Arsiwalla: Okay. But most of that piece, these other incomes are recurring, there is not too much non-recurring in this quarter. Just checking because that number looks disproportionately higher compared to the base period.

Neetish Sarda: No, absolutely. And that's because of increased occupancy and increased footprint. I think both of them will automatically drive it. You'll see these numbers continuously go up.

Moderator: The next question is from the line of Vandit Jain from SageOne Investments.

Vandit Jain: Yes. Strong quarter, strong numbers. My only question is on operating cash flows. So in H1, our OCF was impacted by security deposits. So, the current INR 101 crore of OCF that we have reported for Q3, is there any positive or negative impact of security deposits this time around?

Anirudh Tapuria: So as far as security deposit is concerned, we continue to pay security deposit for upcoming properties as well. So even in this quarter, we have paid security deposit for our upcoming LOIs.

So, it's a recurring part of our business where we continue to pay money for future.

Harsh Binani: And on a more strategy basis, we've also maintained the stance that ours is a cash flow-focused

business where normalised OCF is always higher than normalised EBITDA, driven by a negative working capital as well as strong enterprise collections. So, from that perspective, while you might see quarter on quarter numbers move, sustainably you will always see this greater than 1 and settle more in the range of 1.2 on a more long-term basis.

Moderator: The next question is from the line of Fenil Brahmbhatt from Choice Institutional Equities .
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Fenil Brahmbhatt: Yes. So first of all, congratulations for the healthy quarter performance, considering the first ever report in this quarter, which was supported by strong top-line performance. So what is the management guidance or outlook for the top-line performance or a reported PAT margin for FY '26 or FY '27? If you can share some guidance on that, so that would be very helpful.

Harsh Binani: Certainly. Thank you for the question. Structurally, we've maintained, we are in that high growth phase. What has been interesting about this quarter is the inflection, where we are now firmly entering into compounding phase. So, you can expect that our growth levels will continue to be maintained over 25% to 30%. But this will be complemented with margin growth which is higher than that. And you will also start to see our normalised OCF and our ROCE numbers continue to jump up.

So, while we do not wish to comment specifically on the FY '27 numbers, the INR 4,700 crore committed rental revenue and a growing proportion of our portfolio becoming mature gives us the confidence that the structural change will continue to improve our overall numbers quarter on quarter.

Fenil Brahmbhatt: Okay. And we also noticed that brokerage percentage of revenue from lease rentals decreased in this quarter to 2.5%. So, what is the sustainable level for this brokerage percentage or considering percentage of revenue? And what is the management guidance for upcoming quarters?

Harsh Binani: So, on our brokerage cost, first, structurally, we want to mention that you've seen a sharp drop over the last three years, where the numbers were close to about 4.7%. And in the recent quarter, this has gone down to 2.5%, we expect that this operating leverage and the margin expansion we've seen because of our cost of acquisition coming down, largely driven by our strong franchisee, lot of multi-city expansions, we will continue sustaining a similar trend.

Of course, on a quarter-on-quarter basis, you might see fluctuations given as a result of some of the new large deals that are getting signed up. But structurally, the numbers that we've shown as a trend over the last three years will continue to hold good.

Anirudh Tapuria: And we've also given these details on Page 31 of the investor presentation.

Moderator: The next question is from the line of Pal Balar from Trinetra Asset Managers .

Pal Balar: Thank you for giving me the opportunity. I wanted to ask you, as we are going to increase the GCC clients revenue contribution, so could you please explain me how it is different from enterprise client and GCC client in terms of price per seat and the margin profile, or it is just mainly occupancy driven?

Neetish Sarda: It is mainly occupancy driven and depends on where the demand is coming from. The demand in real estate in India is now shifting towards GCCs, which are coming in taking up disproportionate space. If you look at last year, almost 80 million plus square foot of absorption of office was driven through the GCC clients.

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I don't think there is price differentiation between a GCC or a large enterprise coming in taking up space. Smartworks has always priced

itself at a value price so that people who are looking at

long term commitments with 1,000 plus seater deals are where our focus is on. I don't think that pricing really changes.

It's only our ability to capture the new demand which is coming into the market, and you will see that percentage as a total revenue has already increased to 15-plus percent and you will see those numbers continuously grow up while we capture more and more demand from the GCCs coming into India.

Harsh Binani: The interesting nugget about GCCs is that unlike typical enterprises, GCCs are setting up permanent operating centres leading to significantly larger campuses and longer tenures, and we are also seeing a lot of pan-India expansion as they continue to scale up. So, from that perspective, the earnings quality of a GCC is significantly better than any typical enterprise. Hope that answers the question.

Moderator: The next question is from the line of Sumit Kumar from JM Financial.

Sumit Kumar: Hi, good afternoon and congratulations on a good set of numbers. Happy New Year to the team as well. My first question is on the revenue growth. If I look at the operational or the leased footprint as well as the occupied number, that has gone up by 21% for the occupied base but revenue has grown at about 34%. So is it entirely led by the other income portion or there has been some increase in the average revenue per seat as well for the quarter on a Y-o-Y basis?

Neetish Sarda: So Sumit, as you would have seen our retention rate in the last quarter was down to 74%(3). So, there is obviously a natural growth in revenue of about 5% which is contractually with the companies that are coming in which is reflecting there. Plus, I think our overall occupancies have gone up to from 80% to 84% which is also driving most of this revenue.

Plus the retention rate last quarter was at 74%(3) which has now increased again. It means that we were able to reprice some of the deals that were there in COVID which were at much lower numbers which we were able to reprice again. I think the ancillary revenue that you are seeing is something that will sustainably grow at the pace at which it is growing.

FaaS is the only new vertical which is added and as a contribution in this quarter FaaS only stands at about INR 27 crores. So, if you look at the operating margins from the business or operational revenue from the business, we would consider the ancillary revenue generated from the building as well as the new seats which are added as well as occupancies or re-rating of our existing centres where we were able to get better numbers from our existing inventory all of them contributing towards the higher margin.

(3) 72% was mentioned in error. Figure corrected above.

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Sumit Kumar: Fair enough. My second question is on the pipeline. There is about 4 million odd which is under LOI or term sheet. Any risk you see of those maybe falling off or what will be the conversion ratio that the management would like to guide us on and by what timelines would these 4 million come and become commissioned or operational?

Neetish Sarda: So, Sumit the next growth, the 4 million that you are seeing is our growth throughout FY '27 and FY '28. This is something that is taking care of almost the entire requirement that is coming in till FY '28. These are deals which are already signed, executed. Certain things are under LOIs and term sheets till the time the building doesn't get to a certain stage or certain tenant improvements need to be done in the building where that is when it will get converted.

But the deals are already secured where the formal documentation has happened to a level where there are certain condition precedents before we go ahead and finalize the final terms on those buildings. So, we're just waiting for those condition pr

ecedents.

So, the visibility that we have given towards 15.6 msf is on the deals that we are certain is going through and this takes care of our entire requirement through FY '27 and almost 80 %-85% of our requirement through FY '28. So, supply is not an issue for Smartworks' growth anymore. It is only our ability of executing continuously through the next few quarters.

Harsh Binani: And historically, Sumit, our follow-ups have been very limited and what has structurally changed in our business in the last nine months and particularly more so post-IPO is that the supply tie-up has become even stronger, courtesy our strong institutional partnerships with leading developers in each of the cities we are present in, alongside our network of non-institutional developers that we have cultivated over the last few years.

We continue to see this relationship getting elevated to the next level and as Neetish rightly pointed out, supply will drive a lot of new growth but the fact that it is all certain and our model is very scalable augurs well for our future growth outlook.

Moderator: The next question is from the line of Yashas Gilganchi from BOB Capital Markets Limited.

Yashas Gilganchi: Thank you for taking my questions. With 35% of your revenues now coming in from tenants leasing greater than 1,000 seats, I'm trying to get a sense of the risk to occupancy when such a tenant vacates. So, do you expect such tenants to renew their contracts? And if so, how many times before they decide to lease directly with the landlord and in your view, how many of these tenants do you expect to stay on after the end of the market period?

Neetish Sarda: Sure. So, Yashas, if you look at 1,000 plus seater deals, these are not short-term requirements that are coming. These are 1,000 plus seater deals on an average have a tenure of over 50 months and this has continuously been increasing. In fact, if you look at the tenures from FY '22, 1,000 plus seater deals which were 12% of our revenue, on an average at 42 months tenure, those tenures have increased to 52 months and the lock-in period for these tenures have also increased in the same fashion.

While 1,000 might seem like a big number, but if you look at the size of buildings that Smartworks is also taking, 1,000 seats in most of our larger building formats would be single -

digit occupancies only. It is not like we are doing back -to-back deals where the occupancies for these centres are at risk because the client moving in reduces your occupancy from 80 or 90 to single digits. It's actually only a small portion of the occupancy risk.

Second, we also have notice periods with most of these customers in place. Even if they choose to move out, there is a six -month notice period, six to eight -month notice period that they need to give before they can actually move out. In that time, we are able to refill those centres despite having a 93% retention rate which we think is going to continue at 85 plus percent.

Even if they move out, for us to refill that centre, we have enough, ample time to find an alternate tenant to come and fill up that centre also. So, 1,000-plus-seater is more stable because it's more long-tenured. It is not because it's just a large deal and it's short -tenured and we have to keep selling those 1,000 seats every year.

Anirudh Tapuria: And for more details, Yashas, you can also refer to page 18 of our investor presentation.

Yashas Gilganchi: And my next question, and sorry to keep going on about this, is on other operating revenues. I see that they have actually jumped significantly, like if I were to just take an average about 4.3% over FY '23 to FY '25 and 6.2% in FY '25 and it's about 14% as of 3Q '26.

So, I'm just trying to understand what, I mean, you did speak about what is driving this. How do you

expect this other operating income or other operating revenues to trend going forward? Or is that not the right way to think about it?

Neetish Sarda: So if you look at it from the financials of the company's point of view, it is only driven, it's still at about 8%(4) today from the revenues of, ancillary revenues that we are generating. The INR 27 crore s FaaS(5) vertical is something that we've, fit out as a service vertical was something that we started only this year and that is contributing the additional 5.8%(6) on the entire revenue. But if you look at the growth in the other income, it is mainly driven because of higher occupancies. The 8%(4), which is from our VAS, value -added services in the buildings of Smartworks, that continues to grow. What is different from last year is last year, the FaaS number was much, much smaller. This year, that FaaS number is increased. In this particular quarter, it is at about INR 27 crores, but the ancillary revenue remains stable. So the additional amount of 5.8%(6) that you're actually seeing is only from the, fit out as a service vertical that we are generating.

Anirudh Tapuria: And another point, we have also reported that our monthly committed revenue that has also touched 150 -odd crores on a monthly basis.

Moderator: The next question is from the line of Aditya Shah from Sunidhi Securities and Finance.

(4) 4.3% was mentioned in error. Figure corrected above.

(5) VAS was mentioned in error. Wording corrected above.

(6) 2.1% was mentioned in error. Figure corrected above.

Aditya Shah: Hi team. I just had one small question. You have a large foreign investor named Keppel Land with 14.91% stake. Could you give us an idea about how this stake would be monetized in future?

Harsh Binani: Thank you, Aditya. Keppel continues to be a long -term supportive shareholder who has invested in from their balance sheet in 2019. We've reached out to Keppel, and they've mentioned that there are no immediate plans for them to sell. Of course, like any other institutional investor, they might evaluate opportunities in the future. However, this action would be orderly and not destructive in any way.

Moderator: The next question is from the line of Yashowardhan Agarwal from IIFL Capital Asset Management Ltd.

Yashowardhan Agarwal: Good morning and congratulations on a good set of numbers. So, two questions from my side. First, could you please elaborate on the SmartVantage as an offering? I know you have mentioned it in your letter, but still if you could elaborate that what exactly is the offering and how does it play Smartworks differently versus others' manned office space? And on the similar line, is this generally a big problem for the GCCs that we're trying to solve or is it just a complementary offering that we have provided? That would be my first question.

Harsh Binani: Certainly. Thanks a lot, Yash, for that question. SmartVantage addresses a very core GCC problem, which is of speed, compliance, and execution at scale. So far, our offering was limited

to workspaces, but SmartVantage takes it a level further by where we become a one-stop solution and offer ready-to-operate campuses with all the regulatory and technology and partner support, enabling GCCs to go live in just six to eight weeks.

Typically, during that period, they are also evaluating where to expand and how their India operations are settling. So therefore, we believe that Smartworks, because of its pan-India footprint and our campus strategy, allows them the flexibility of taking care of both their national needs as well as going live very quickly and scaling up also very aggressively with us as their need firms up. This is where we clearly distinguish from any other provider, and we see a very promising outlook in future for GCCs.

Yashowardhan Agarwal

: Okay, and how do we plan to monetize it?

Harsh Binani: Currently, our workspace offering will not see any change. We will continue to get that annuity revenue from GCCs. For all the partner-led services which are going to be offered by our partners to these GCCs, similar to our VAS, we will be having a take rate, which will flow straight to our bottom line. So, you will see the GCCs coming in, not only expanding our workspace revenue, but also our other take rate revenue.

Yashowardhan Agarwal: Got it. That is helpful. My second question is on the retention rate. So, could you please share the retention rate across different seat cohorts, that what is it for the 1,000 plus seats versus, let's say, below 1,000 and how has that been across the years?

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And second question would be, what is the nature of the clients that we are acquiring? That is, how much of them are coming from switching to -- switching from the existing flex player and how much are coming to Smartworks as their first choice?

Neetish Sarda: Maybe let me start to answer with the second question first and then I'll hand it over to Anirudh to answer the first question. Most of the demand in Smartworks is actually coming from enterprise clients. It's a unique set of clients which are moving into Smartworks who look at traditional offices as an alternate.

The reason that Smart works is able to get much long tenure and the larger deal size is because people are looking at Smart works as an alternate to traditional offices rather than moving from any other flex player in to a Smart works setup.

If you look at the expansion, the reason that most of these clients are expanding also with multi-city deals with Smart works is about 31%(7). It means that once they come into the ecosystem, they go ahead and grow across multiple geographies. And if you look at our focus, ~90%(8) of our revenue actually comes from large enterprise clients.

So while we have over 200,000 seats as we speak, its spread over 750, 760 plus clients. We don't have thousands of clients, 2,000 -3,000 clients who are occupying these number of seats. Only 760 clients, so they're more sticky in nature, more permanent, more predictable and are looking at Smart works as an alternate to traditional offices rather than moving from flex.

Anirudh Tapuriah: And just to your question with respect to retention, I would just like to give a breakup with respect to how revenue is forming on the lease rental side. As you mentioned, 1,000 plus is 35% plus of our lease rental revenue. Between 300 to 1,000, it is approximately 32% to 33% of our revenue, that is why 300 plus actually becomes a very large base at around 70-odd percent.

And as far as retention is concerned, we continue to track and evaluate retention at a company level because bulk of our clients are actually enterprises as Neetish mentioned is at 90%. So that is why we track retention on a company level basis and not on a seat cohort level basis.

Yashowardhan Agarwal: And if I could ask the last question, that would be on the absolute capex number for next two years for FY' 27 and FY'28.

(7) 35% was mentioned in error. Figure corrected above.

(8) 95% was mentioned in error. Figure corrected above.

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Harsh Binani: We've maintained consistently that going forward, we are aiming at a 25% to 30% growth rate, we will continue being self-funded. Prior to IPO the capital that was raised of INR 500 crores is already generating very healthy cash flows. We are yet to fully utilize the IPO proceeds that we

raised. So that will also meaningfully help us improve our capex capacity over the next few years. For 2.5 to 3 million square foot addition every year, we envision a capex of INR 350 crores to INR

400 crores every year, for which the company is very well capitalized and external capital raise will not be required.

Moderator: The next question is from the line of Siva Prakash B from ithoughtPMS.

Siva Prakash B: Hi, sir. So, you had mentioned that you were planning to expand by 3 million square feet per year. So, could you please give me more info about where these new centres are going to be expanded? Like are you planning for a more tier 1 based expansion or tier 2 based expansion?

And also, could you talk about your Singapore centre if you're planning to expand on the same?

Neetish Sarda: So, if you look at our expansion to 3 million square foot is something that we've already locked in for the year for FY '27 and for FY '28. Majority of the growth is driven in tier 1 cities in India where we are going ahead and consolidating our leadership position in most of the larger cities where Smart works is present. We have grown across cities like Mumbai, Pune, Bangalore, Hyderabad.

If you refer to our Page 15 of the presentation, you will see how this is distributed across almost all the major cities and how we're consolidating our position and leadership position in all of these cities. So, most of it is going to be driven through the Tier 1 expansion itself where we are seeing deeper interest, deeper demand coming in from large enterprise clients. As far as Singapore is concerned, it was more of a strategic presence realizing that demand in India comes from large enterprises who have their headquarters in Southeast Asia based out of Singapore. We wanted to be closer to the decision makers there is no immediate requirement for us to increase our base in Singapore. It was mainly to create a presence so that we are closer to the decision makers. And I think it's turned out very well for the company because we're seeing those synergies flow through the demand which is coming to us from Singapore to India as well as from India to Singapore. And Singapore is profitable for us for the past few quarters. And it has margins higher than India typically.

Siva Prakash B: And are you planning to focus more on Tier 2 going forward as your competitors are planning or how is it going to be?

Neetish Sarda: We're seeing India is about 90 plus percent of India's demand actually comes from the top nine cities. Our focus is to go deeper with the campus style large setups that we have. Tier 1s will always dominate it because getting in 800,000 -900,000 square foot building is something that will be available in Tier 1s, Tier 2. The volume of such campuses might be much, much smaller.

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So while you will see Smart works entering into new cities, we are present in five(9) Tier 2 cities already as we speak. But I think the Tier 1 will have a disproportionate growth just because of the size of properties that are available in these locations and the Smart works strategy of taking up full large campus buildings, which is unique to our model, which is what keeps our focus more on Tier 1.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to Mr. Harsh Binani for the closing comments. Thank you and over to you, sir.

Harsh Binani : Thank you very much for patiently hearing us for the last hour. And we look forward to continue engaging with you. Our team remains available to answer any questions. Hope you do get the time to go through the exhaustive collateral material that we've uploaded, our shareholder letter, as well as the earnings presentation. And here's wishing all of you a very happy New Year again and look forward to a great year for the company and interacting more with you. Thank you so much.

Moderator: Thank you very much. On behalf of JM Financial Institutional Securities Limited, that concludes this conference. Thank you for

or joining with us today and you may now disconnect your lines.

(9) six was mentioned in error. Figure corrected above.

(This document has been edited for readability purpose)

Call: Jul 2026

Smartworks Coworking Spaces Limited

(Formerly known as Smartworks Coworking Spaces Private Limited)

Regd. Office: Unit No. 305 – 310, Plot No. 9,10, & 11, Vardhman Trade Centre, Nehru Place, South Delhi – 110 019.

Corporate Office: DLF Commercial Building, Block - 3, Zone -6, DLF Phase – 5, Gurugram, Haryana -1220 02

Phone No: 0124 -6919 400

CIN: L74900DL2015PLC310656

Date: 28th July, 2026

To,

National Stock Exchange of India Limited ("NSE")

Listing Department

Exchange Plaza, C -1 Block G, Bandra Kurla

Complex Bandra [E], Mumbai – 400051 To,

BSE Limited ("BSE")

Listing Department

Corporate Relationship Department

Phiroze Jeejeebhoy Towers,

Dalal Street, Fort, Mumbai - 400 001

NSE Scrip Symbol: SMARTWORKS BSE Scrip Code: 544447

ISIN: INE0NAZ01010 ISIN: INE0NAZ01010

Subject: Disclosure under Regulation 30 read with Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript

Dear Sir/Ma'am,

As per Regulation 30 read with Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, Transcript of the discussion on the Un-Audited (Standalone and Consolidated) Financial Results of the Company for the Quarter ended June 30 , 2026 along with the Limited Review Report thereon, at the analyst meet held on Wednesday the 22nd Day of July, 2026, is available on the website of the Company at <https://www.smartworksoffice.com/investors/> .

The analyst meet, conducted through Audio means at 04.00 P.M. (IST) and concluded at 05:04 P.M. (IST) on July 22 , 2026.

This is for your information and records.

For Smartworks Coworking Spaces Limited

Punam Dargar

Company Secretary & Compliance Officer

Membership No.: A56987

Address: Unit No. 305 -310, Plot No 9, 10 & 11 Vardhman

Trade Centre Nehru Place, South Delhi, Delhi, India, 110019

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"Smartworks Coworking Spaces Limited

1Q FY27 Earnings Conference Call "

July 22, 2026

MANAGEMENT : MR. NEETISH SARDA – MANAGING DIRECTOR

MR. HARSH BINANI – EXECUTIVE DIRECTOR

MR. SAHIL JAIN – CHIEF FINANCIAL OFFICER

MR. PRATIK AGARWAL – CHIEF BUSINESS OFFICER

MR. ANIRUDH TAPURIAH – CHIEF OF STRATEGY AND

INVESTOR RELATIONS

MODERATOR : MR. KARAN KHANNA – AMBIT CAPITAL PRIVATE LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Smartworks Coworking Spaces Limited Q1 FY27 Earnings Call, hosted by Ambit Capital. As a reminder, all participant lines will be in listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Karan Khanna. Thank you and over to you, sir.

Karan Khanna: Thank you, Ananya. Good afternoon, everyone and on behalf of Ambit Capital, I would like to welcome you all to the 1Q FY27 Earnings Conference Call for Smartworks Coworking Spaces Limited.

From the management today, we have with us Mr. Neetish Sarda , Managing Director ; Mr. Harsh Binani , Executive Director ; Mr. Sahil Jain , Chief Financial Officer ; Mr. Pratik Agarwal, Chief Business Officer; and Mr. Anirudh Tapuriah , Chief of Strategy and Investor Relations of the company.

We would like to now begin the call with opening remarks from the management, post which we will have the forum open for an interactive question -and-answer session. Thank you and over to Neetish and Harsh.

Neetish Sarda: Thank you, Karan. Good afternoon, everyone , and thank you for joining us. This month marks one year since Smartworks listed on the NSE and BSE. We are grateful to every stakeholder who has been part of this journey. In this one year, we have delivered what we promised earlier , the fastest growth in the industry, both in area, revenue, and EBITDA, and steadily rising market share quarter after quarter.

Let me go through our model in a minute. Smartworks leases entire buildings from India's leading developers and non -institutional landlords in prime micro -markets and transforms them into fully managed, amenity -rich campuses with cafeterias, gyms, crèches, convenience stores, recreation zones, and round -the-clock support for the client. For them, it is a single contract, one SLA, one invoice, and a genuine one -stop solution for everything their workplace requires.

Our platform has grown to almost 17 million square foot of total area and over 760 clients from Fortune 500 to Forbes 2000 companies, MNCs, leading Indian conglomerates, and unicorns. We have over 150,000 professionals working out of our campuses on a day -to-day basis.

Our clients typically sign long -tenure agreements of four to five years, which give s our revenue an annuity -like character. Committed contracted revenue today stands at approximately INR 5,400 crores, and 87% of our FY27 revenue is already contracted for.

Let me talk about Q1 '27 now. This is another strong quarter and another sequential step-up. Our revenues stood at INR 546 crores, up 44% year -on-year and 5% quarter -on-quarter. The normalized EBITDA of INR 107 crores, up 74% year -on-year and 8% quarter -on-quarter, with the margin expanding from 19% in the last quarter to 19.6% this quarter.

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Our normalized PAT stood at INR 39 crores, which nearly tripled from INR 13 crores in the same quarter last year. Our operational area stands at 10.4 million square foot with committed occupancy of mature centre s around (1) 92%. The multi -city clients now contribute 35% of our revenue, up from 31% in FY26.

The next metric, which is 1,000 plus seater cohort, now contributes more than 41% of Smartworks' revenue, up from 37% in FY26. We have increased our penetration into GCC clients as well. Today, GCC clients contribute 21% of our revenue, up from 15% in FY26 , with significant headroom ahead. Every durable metric, whether it is revenue, EBITDA, margins, PAT, and ROCE, has continued to move up for 5 consecutive quarte

rs post listing.

A fresh capex cycle has started this quarter. In our industry, there are two ways to reach 20% margin. You can oscillate towards them cycle after cycle, or you can compound to them quarter after quarter. Smartworks compounds. The low volatility, durability of cash flows, and scale make us anti -fragile and set us apart from any of our peers. I will let Harsh talk through the remaining highlights in detail shortly.

Let me put our growth in market context briefly. Two things are happening at once , and our

client roster shows we are leading both, not following them.

One, the office market is at a record high. Flex is its biggest buyer, and Flex is consolidating fast towards us. India recorded its highest ever quarterly leasing of 24.6 million square foot, with 27% coming through Flex, a big jump from 19% a year ago. Within Flex, Cushman & Wakefield's data shows a widening gap. The top 10 operators' share of Flex leasing has climbed every year, from 67% in 2024 to 72% in 2025. It's already gone to 74% in H1 of this year, with the long tail continuing to remain less than 5% and shrinking further.

Scale, balance sheet strength, and developer relations are now the price of entry, and smaller players simply cannot add buildings the way large platforms can. The big are getting bigger and we are the biggest, growing the fastest. Our lead over the next largest operator in terms of area will only keep expanding.

The second trend is AI and GCCs are expanding office demand, and they are already our clients. The AI workforce inside India's GCC is set to grow fourfold by 2030, and that demand lands in premium collaboration-rich campuses, exactly what we build. GCCs today contribute 21% of our rental revenue, up from 15% in FY26, and several of our largest clients are building their AI and GCC talent hubs inside Smartworks campuses today, including Switzerland's largest financial institution, a global CX and digital services leader, and this quarter, the subsidiary of a leading Japanese NBFC at our Mumbai campus.

The result - Commercial real estate is growing at more than 6%, but Flex is growing at 23%. Within this, Smartworks is growing at 44%, roughly seven times the office market and twice the Flex market.

(1) Edited for the purpose of readability
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This is not riding a trend; this is where the trend lands. For the past 4 to 5 years, demand for office space in our micro-markets has outpaced the availability of new office buildings. In a market running short of quality office supply, getting the right building first is the biggest advantage, and we widened that lead this quarter.

Every building Smartworks needs for the next two years is already secured, and work on FY29 has begun. By strategically acquiring long-term rights to properties in prime locations, our office space is already signed up for future years with uninterrupted access to quality buildings for the next 10 to 15 years. This forward visibility on buildings matched with contracted visibility on revenue is what lets us keep taking more and more market share.

Over the last 12 months, we have added 2.1 million square foot of operational space, including 0.3 million square foot just this quarter. Already at healthy commitment levels, over the next 9 months, another 3 million square foot comes online, including two marquee properties, Eastbridge in Mumbai, an 8.15 lakh square foot asset in Vikhroli, which we are pleased to announce is the world's largest standalone managed campus, surpassing our own record, and Eastside in Pune. Both land in H2 of FY27 with strong pre-fills. Tomorrow's campuses are contracted today.

Talking a little bit about our international expansion. We are also expanding strategically in Singapore. With the acquisition of Work studio we now operate over 1,500 seats in Singapore, double

what we started with, existing centres running at high occupancy and with no risk taken on the Indian balance sheet. Our capital allocation philosophy is simple: international growth funds itself from international cash flows, while India cash flows are deployed into the domestic platform where the growth runway remains long.

We reaffirm our guidance of 28% to 30% revenue growth, normalized EBITDA margins between 19% to 20%, and an operational footprint of over 13 million square foot by March 2027, anchored by INR 5,400 crores of contracted revenue and a ready pipeline of signed buildings which are already under construction.

Our ROCE held at 21.5% through the heaviest investment quarter in our history, and as this capex cohort matures and completes payback, we expect ROCE to expand meaningfully through FY28. The path is steady and predictable by construction.

With that, I hand it over to Harsh for the financial and operational details.

Harsh Binani: Thank you, Neetish. Let me walk you through the quarter and, more importantly, what the numbers say about the underlying health of the business. On revenue, it increased to INR 546 crores, up 44% year-on-year and 5% quarter-on-quarter, driven by existing centres expanding, our centres maturing, and new seats added. The majority of revenue comes from our core rental business, which grows consistently every quarter.

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Increasingly, growth comes from existing clients expanding across our network even as we win new logos, and expansion revenue is the lowest -risk revenue there is . Low acquisition cost, low ramp risk, and growth is powered by clients we already know.

On profitability, our normalized EBITDA rose to INR 107 crores, which is up 74% year -on-year and 8% quarter -on-quarter, with margin expanding to 19.6% from 16.2% in Q1 FY26. This improvement was largely driven by centre maturity, several cost excellence initiatives , particularly on energy, and operating leverage at both centre and corporate levels. Our normalized PAT was INR 39 crores, which is nearly triple the INR 13 crores a year ago and up 11% sequentially.

On cash generation, our operating cash flow to EBITDA was 0.9x this quarter on normalized operating cash flow of INR 95 crores, which is up 10% year -on-year. Structurally, this ratio runs above 1x. Ours is a negative working capital model with roughly six days debtors. The dip this quarter reflects is largely on account of INR 33 crores of security deposit paid to landlords to book buildings through FY28 and partially for FY29. We are paying today to own tomorrow's growth.

On the investment front, our free cash flow is negative INR 56 crores against negative INR 4.9 crores a year ago, as capex stepped up 66% year -on-year to ~INR 150 crores. Of this, INR 45crores went into upcoming centres and already signed clients - spend that is ROCE -accretive by design. The balance sheet remains virtually debt -free with net debt of just INR 5.6 crores and borrowing cost under 9%.

Our credit rating got upgraded earlier this year. Growth at Smartworks is self -funded by design. On returns, our annualized ROCE held at 21.5%, which is up 870 bps year -on-year, despite INR 151 crores of fresh capital deployed into capex. As the portfolio matures, the path to further ROCE accretion is steady and predictable.

Capital efficiency is a metric which is worth watching. The gap between EBITDA and PAT is narrowing every quarter as centres mature and complete payback. This captures how much of our operating profit converts to bottom line , and it improves mechanically as the portfolio ages. On our client quality, our seat retention was 74%, but you should read this alongside committed occupancy of mature centres, which stands at a very healthy 92%, and alongside the fact that occupied seats actually rose during the quarter. This

reflects deliberate portfolio rebalancing and mark -to-market repricing at renewal. The client count is down while occupied seats and revenue are up. Fewer, bigger, longer -duration clients - that is by design.

Our occupancy was 81% versus 82% in Q4 FY26. It's purely a function of newly opened buildings still filling up. Our mature centres are running at 89% occupancy on 9.1 million square foot, with committed occupancy of 92%. That is where the newer cohort is headed. The resilience on our balance sheet continues to get strengthened. Our asset -liability mismatch is eliminated up to FY29.

The committed client lock -ins cover our landlord rental commitments roughly two times over at the portfolio level. Our resilience through cycles is evident. The model that we have built is built

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to hold in downturns as well. Value pricing keeps us as a preferred partner , and no client typically takes more than 30% of a campus. Through every cycle since inception, we have not surrendered a single campus.

So why does our model compound? Firstly, scale gives us cost leadership. At 10.4 million square foot operational, we are the largest platform in the industry, and scale earns us preferred terms from landlords and lower unit costs across leasing and operation. Green initiatives, including solar adoption across campuses, are cutting our energy costs and improving economics for us and our clients.

Our larger centres continue to get filled by larger clients. The rising share of 1,000 plus seat cohort and multi -city clients shows the network effect strategy at work. Even as the new centres get bigger, ramp -up times have stayed constant, and once a centre crosses breakeven, incremental revenue flows disproportionately to EBITDA.

Importantly, our margins are continuing to expand irrespective of the capex cycle. This is the heart of the model. Each new investment cycle lands on a larger , mature near -fixed -cost base . So, every new cohort is smaller relative to that base , and its ramp -up drag keeps shrinking. At our current scale, adding new centres and the associated capex is simply not margin dilutive. Our enterprise annuity demand is at 92% of our rental revenue with 1,000 plus seat cohort on 48

months tenure expanding with us across cities. Technology is our cornerstone. It lets us grow fast, scale consistently, and now with intelligence embedded deep ly through AI, it's opening a clear monetization path ahead. For more details, refer to our earnings presentation, Page 40 onwards.

Finally, our growth will continue to be self -funded. Negative working capital and durable cash flows mean s growth is funded primarily from internally generated cash. The flywheel turns on its own fuel. Put together, we have visibility on both sides of business . A ready pipeline of signed buildings for FY27 and '28, and INR 5,400 crores of contracted revenue covering 87% of FY27. Quarter after quarter, we are building a business that is stronger, more resilient, and better equipped to deliver sustainable long -term growth. This is what we mean when we say Smartworks is built to compound. This is t he same story you will find in our letter and in our presentation, because it is the same business. With that, we are happy to take your questions. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Shamit Ashar from Ambit Capital. Please go ahead.

Shamit Ashar: Yes, thanks for the opportunity and congrats on a good set of numbers. So , a couple of questions from my side. So, you've announced this acquisition of Work Studio spaces in Singapore. So, could you provide some more color on the rationale behind that acquisition and what kind of revenues, occupancy do you expect from your Singa pore portfolio? And secondly, what is your targeted cape

x outlay for FY27? So are your fit -out costs of INR 1,350 seeing some inflationary pressures?

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Neetish Sarda: Let me answer the Singapore question first. The acquisition of Work Studio is completely through the cash flows that Smartworks generated with its centre s over the last one year. Despite taking up a new centre , we had some cash flows which the company had generated and we got the opportunity of acquiring Work Studio.

Work Studio stood at about 60% occupancy when we acquired it, and we acquired it at the cost of construction. So , building out a space of about 14,000 - 15,000 square foot or 17,000 square foot in Singapore costs that same amount. So that is the rationale behind acquiring it at that number. Occupancy of our current operational centre s, before the new acquisition and expansion , stood at ~88%(2) percent in Singapore , so we didn't have a lot of seats to sell. With these two centre s now getting added, I think there is capacity between 400 to 450(3) seats which is now available to sell in Singapore. Hopefully that answers your question.

Shamit Ashar: And are you looking to scale up your portfolio more in Singapore in the next two, three odd years?

Neetish Sarda: Not meaningfully. These were opportunistic. So , Singapore as a market overall, you know, we're already about 80,000 square foot there. Even if we scale up, it's not going to scale up as meaningfully. It's not going to go from 80 ,000 to 160 ,000 or 200,000. We might add one or two more centre s depending on how these centre s perform, but with the kind of traction that we've already seen with our two existing centre s and the pre -filled demand that we have for our third new centre , you know, we might increase this but not in a meaningf ul manner.

Harsh Binani: And just to add to Neetish 's comments , Singapore roughly is about 1,500 seats and it's about 2% of our revenue. Of course, Singapore market is meaningfully more profitable given the cost efficiency and the Indian structure we've been able to bring along. However, we recognize clearly where ou r strength in India lies and India is at about 17 million square foot of space. So , Singapore, as Neetish pointed out, will continue to be self -sustaining and as a philosophy, cash flows generated from Singapore will continue fuelling growth in Singapore w hile the India capital allocation will be firmly rooted in the India business.

Shamit Ashar: And my next question on capex ?

Neetish Sarda: Yes. So , our capex estimated is between INR 550 crores to INR 600 crores for the year. This capex includes two sets: it includes refurbishment capex that we typically do in our centre s after every three years and this is also the fresh capex that will go in. If you look at our presentation, we've also called out the new assets which are already coming in.

Smartworks has signed up more than 3.5 million square foot of space already which is either under construction or coming up for construction within the first two quarters of the year itself.

So, you will see a significant amount of capex cycle coming in because if you look at the committed occupancies of our operational centre s, we were already at about 88% to 90% where we had very limited seats to sell.

(2) 92% was mentioned in error. Figur e corrected above.

(3) 200 to 250 was mentioned in error. Figure corrected above.

With the new acquisitions coming in, with the new properties that we've taken, there is going to be a capex cycle coming in - at least for the next two quarters you'll see this number to be meaningfully high - and we are projecting to spend anywhere between INR 550 crores to INR 600 crores on the capex for this year.

Shamit Ashar: Got it. Thank you. I'll come back in the queue.

Moderator: Thank you. The next que

stion is from the line of Yashas Gilganchi from Bank of Baroda Capital Markets. Please go ahead.

Yashas Gilganchi: Hello team, thank you for taking my questions. I'd like to know how much of your expansion would you say is speculative? Say for instance, if you were to lease 100 units of space from the landlord, how much of that space is already spoken for?

Neetish Sarda: So, thanks Yashas for that question. I think let's break this down into two parts. One is how we go ahead and acquire a building once we have enough demand coming in for that location.

Smartworks has gotten into an effect where there is a flywheel effect on our demand and supply. We're going ahead and acquiring more and more properties in locations where we're seeing our existing clients asking us to give them more options.

So, if you look at our multi-city deals or companies which have moved with Smartworks in different cities, that has gone up from 31% to 35% this quarter, which means that almost 30% to 35% of any building that we are taking typically gets pre-committed by existing clients of Smartworks or one of the clients who's looking at entering into the building.

Our ramp-up occupancy - if you look at our history also, within 13 to 14 months is when we get to about an 80-85% occupancy, and that is a trend that we've continuously seen despite taking larger and larger buildings. So when we were taking the 300,000-400,000 square foot building, then also we were able to ramp up in 13 to 14 months, and with some of the acquisitions that we've done last year with 600,000-700,000 square foot building, which have already matured - and some of the other assets(4) - we've gone ahead and increased our occupancy to more than 80% within the first 13 months itself.

So that trend of having about 35% pre-commitment with occupancy ramp-up within the first 12 months or 13 months to 85% is what you're going to continuously see with the new centres as well.

Yashas Gilganchi: All right, understood. And over FY27, you expect to see any material change in your tenant roster? Where are you noticing a decrease in demand and which cohorts do you expect to pick up the slack?

(4) Eastbridge was mentioned in error. The same has been omitted as a correction.

Neetish Sarda: So, we are actually seeing demand coming from all sectors, but it's a conscious call to diversify our risk. If you look at our operational client mix, which we've shared in our presentation, you will see that our dependency on IT/ITES has significantly gone down. We've actually increased our penetration into manufacturing and engineering, professional services where most of our focus is now moving towards them as well.

Will this hold at these percentages? It's very difficult to say whether it'll hold at these numbers exactly. There might be some changes, but the target is to make sure that we diversify our client mix. We continue focusing on not just getting IT/ITES, but making sure that we have a very healthy mix of manufacturing and engineering or business consultancy and professional services customers also. You can refer to our presentation, Page Number 17, which clearly calls out the current positioning. I think similar numbers you can expect through the financial year. And if you look at these numbers, it's a conscious call of reducing our focus on IT/ITES also. If you look at IT/ITES, it stood at more than 40% of our total client mix which has already reduced to 35%(5).

So, keeping IT/ITES at about between 25% to 30/35% is what the target would be and diversifying our client portfolio by focusing a lot more on business consultancy, engineering and manufacturing clients.

Harsh Binani: And on your second question around cohorts, the 1,000 plus seat cohort is our primary engine. It was only at 12% in FY22, but due to the powerful network ef

fect, it's already up to 41%. So

what this indicates is that we are not only leasing large campuses, but also filling it up in record time with really large clients who sign up very long duration contracts with us and continue to expand and grow with us. We see GCCs as a primary growth driver. That number within a quarter has already moved from 15% to 21% and there is still significant headroom in GCC growth in the subsequent quarters. A lot of companies in Europe, US, and Japan are yet to even set up a GCC in India, so we see a very bright future there and are making very proactive efforts to attract more clients there. And you will also over the next few quarters - by design - see shrinkage of the sub 100 seat cohort, and we believe we want to continue serving the larger clients and have a laser sharp focus on the annuity revenue. Hope that addresses your question.

Thank you.

Yashas Gilganchi: Yes, that is clear. Thank you very much. I have another question but I'll join back in the queue.

Moderator: Yes. Thank you. The next question is from the line of Sourabh Gilda from JM Financial. Please go ahead.

Sourabh Gilda: Yes. Hello, everyone. Thank you for taking my question. My first question is on occupancy. As our operational footprint is expected to approach the 13 million square feet mark by the end of the year, how do you see the occupancy tracking up, especially given that we have two large centres coming up in the second half? So that's my first question.

(5) 25% was mentioned in error. Figure corrected above.

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Neetish Sarda: We have very good demand coming in for the new centres. We have not just two large centres coming up, but almost seven to eight different centres across different cities under construction. We have very healthy demand coming in. If you go to Slide 15, you will see that our mix of centres is not limited to a particular city.

You will see it is very well diversified across multiple cities with West, South, North, all holding a significant portion of the new supply which is coming up. We're actually seeing this demand coming in every location. And as far as occupancies are concerned, there might be a quarter or two where you might see a little bit of volatility on the occupancy, but that depends on the new centres which get added because the base effect or the new number seats take a little bit of time to ramp up. Having said that, they will not have a significant impact on the margins because our older, mature centres are inching more towards the 90% plus occupancies. So, with that, I think we can fairly say that anywhere between 80% to 85% is where we can effectively look at our occupancies throughout the next three quarters, despite the high growth.

Sourabh Gilda: Thank you. That's helpful. And my second question is on the retention. You have highlighted that the drop is as a result of your proactive churn. So, is this churn demand-backed and do you see similar opportunities spanning out over the next few quarters?

Neetish Sarda: Absolutely. You shouldn't look at retention on standalone - you should also look at it with the committed occupancy that we have. Our committed occupancy still stands at 92%, and retention will only come in mature centres. If you look at our mature centre committed occupancy, we are at 92%. There are certain customers who came in 4-5 years ago at a slightly lower base; now that the markets have corrected, we are going ahead and churning them out and already have found a different customer to take over their space. That's why the mature committed occupancy still stands at about 92%.

Having said that, this is a trend that you will see with our company - if you look at our history over the last two years as well, even last year, the first two quarters, there was a little bit of churn, because most of the

decisions of taking up new offices happens in the first two quarters of every year. And then subsequently in quarter three, quarter four, that churn number gets to be much smaller and that trend can be seen in the last year's numbers also. 74% is what our quarter two retention⁽⁶⁾ was, but effectively the year's retention⁽⁶⁾ ended up being 80-88%. So, we don't look at like a 74%⁽⁷⁾ retention⁽⁶⁾ is what is not important. What is important is out of that 74%⁽⁷⁾ retention⁽⁶⁾, 92% of our properties are already pre-committed. So, our committed occupancies are very wealthy and healthy. So, we've already found a customer to take over their spaces, in most of the cases.

Sourabh Gilda: Thank you. That's all from my side.

Moderator: Thank you. The next question is from the line of Vikrant Kashyap from Asian Market Securities. Please go ahead.

(6) 'Churn' was mentioned in error. Wording corrected above.

(7) 77% was mentioned in error. Figure corrected above.

Vikrant Kashyap: Hi, congratulations on a very strong set of numbers. On your GCC client additions, your revenue there has improved significantly. Have you started benefiting from your SmartVantage platform? Is the increment coming from this program that you have started running? And how would it improve your average revenue per month given the cycle is continuous?

Harsh Binani: So, thank you, Vikrant, for the question. Certainly, GCC is a primary growth driver as we look at the next two, three years. And the nature of the GCCs continues to evolve across our client base. A couple of quarters back, we handed over to one of the largest Swiss banks. Subsequently, we've handed over to one large manufacturing GCC. So, you will continue to see diversity in sector of GCCs. And today, the GCCs are not limited to only US. We are also seeing a lot of incoming demand from Europe and Japan.

One of the compelling value propositions that we are able to offer to them is, of course, the SmartVantage platform, which handles not only the seats, but also offers all the other services that they acquire. It has only been a couple of quarters since we soft launched this program and we are happy to share that we are already seeing very positive traction. The SmartVantage platform has won two large contracts in terms of providing additional services beyond the seat revenue. And we expect this revenue to meaningfully double over the next two years. And the way we look at our GCC strategy, our core will continue to remain our annuity revenue, but the one-stop solution we are able to offer to our clients will enhance our stickiness and also ensure that the contract duration is longer.

Neetish Sarda: And just to add to that, our GCC revenue and the addition in the margin that Harsh has spoken about has not started hitting our books yet, because these GCCs that we've signed with additional services, we are providing them the space as we speak. It's only been two quarters. Most of the offices are under fit out or have just been handed over. And the value accretion of the other services over and above the space will happen, you will meaningfully see that number increase over the next two or three quarters.

Moderator: The next question is from the line of Muralikrishnan from Sundaram Mutual. Please go ahead.

Muralikrishnan : Hi, thanks. So, I just wanted to check - while we are covered in terms of supply for FY28 and looking for FY29, there are some reports saying that completions have seen some delays. Of course, we have started working with large developers. So, are we seeing any issues on the supply side in adding the seats? Yes, that's the only question from me. Thanks.

Harsh Binani: No, supply side visibility in our model is very, very high. Two things that Smartworks focuses on is taking large campuses. So, for Smartworks to grow at about 2.5 mil

lion square feet to 3

million square feet, we need to just add seven or eight buildings a year, that's it. That's the number that gets us to that 2.5 million square foot or 3 million square foot growth.

With the kind of visibility and the building signups that we've already done, even if there is a delay of a quarter or two quarters, we still have enough supply locked in now where it is not going to derail our business plan. In fact, that's the reason our guidance was to get to add about 2.5 million square feet to 3 million square feet of space. If you look at our presentation on Page 15, you will see that we've added more than 3.5 million, so there is a buffer of almost 700,000

to 800,000 square feet that we have added. Any of these projects that get delayed, there is another asset that can compensate for the delay of that project.

So, supply for us is not an issue, and because we are taking up and now looking at supply for FY29, optionality for Smartworks is very, very high. So, we essentially see what stage the building is at, how quickly can we do it - if the builder hands it over to us, we try and build in a buffer of at least one or two quarters just in case things get delayed.

Harsh Binani : To add to Neetish's point, traditionally our business had a very varied set of developers on the unorganized and non-institutional side, but over the last 12-18 months, our platform has attracted all the marquee institutional grade developers like DLF, Hiranandani, Tata, Panchshil, Salarpuria. These are the partners who deliver on schedule as well, and that is where the developer relationship is precisely the hedge that we have against any completion risk per se.

Anirudh Tapuria : And Murali, Anirudh this side, also just wanted to add, our operational footprint as of June is 10.4 million square feet. Very happy to share that already 1.9 million square feet is currently under fit-out, and the details of the same are available on Slide 16 of our Investor Presentation. So, when we speak about 2.5 to 3 million square feet of annual operating capacity to be added, there is full visibility with respect to centres which will be handed over to us as well. Hope that

answers your question.

Moderator: The next question is from the line of Varun Julasaria from 360 ONE Capital. Please go ahead.

Varun Julasaria: Yes, hi sir, thank you for the opportunity. I just wanted to check on the guidance front. So how much additional revenue are we expecting from the new leasing and what is the per-square-foot revenue that we have modelled for the additional revenue? I think 22% growth is already factored in based on last quarter's revenue and rest will come from the new operations. So, I just wanted to check what is the per-square-foot rate that we are considering and how much additional rent do we feel we will get from the new assets?

Anirudh Tapuriah: Yes, thanks a lot Varun, for your question. With respect to our visibility, we have guided for adding 2.5 to 3 million square feet in fiscal year '27, with our revenue guidance being constant at 28% to 30% revenue guidance and a normalized EBITDA guidance of 19% to 20% from a full-year perspective. Your question with respect to our realization: our realization for incremental seats which we leased out in Q1 FY27 under the mature footprint, it was at around INR 181 per square foot.

Neetish Sarda: And we feel that is the number that will continue - on an occupied basis, it turns out 2.1 to 2.2 times the cost, two times if you look at occupancy adjustment at 90%, but if you look at 100% occupancy (8), the rental revenue (9) is anywhere between 2.2 to 2.3 times of rental cost.

(8) Occupied seat's cost mentioned - edited for the purpose of readability.

(9) Revenue was mistakenly mentioned as cost, the sentence has been suitably updated for readability.

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Varun Julasaria: Okay sir. I am just wondering because around 22% kind of growth is already factored in based on committed occupancy at the current level. Since we are adding around 20%, 25% kind of additional space, I was wondering if the growth would be slightly higher and if we are kind of guiding a little more conservative that way?

Neetish Sarda: No, so these are new centres which are just coming up right now. So, if you look at our committed occupancy, it stands at 92%, so there's not much to sell on our existing base.

Whatever we sell on the new centres, which takes about 12 months to ramp up and there might be certain delays on the property handover also, that's why the range of about 28% to 30% is what we are fairly certain about achieving and with the steady margins that we've already said. So those numbers we are very confident upon, because we do not have existing properties where we have seats to sell. So, whatever we are now building, which will take about four, five months to build and then eventually ramp up, you will see maybe Q3 or mostly Q4 see that jump, and that's why we are saying that 28% to 30% is what we are fairly confident of achieving.

Varun Julasaria: Okay sir. And this last question on the OCF to EBITDA. This time we saw slight decline, I think working capital change was in our favor? So just wanted to understand if there is any particular reason, like although it is still healthy, but just wanted to check?

Harsh Binani: No, certainly, we have elaborated this further in our shareholder letter as well. Our OCF to EBITDA included INR 33 crores of security deposit, which we have used for securing strategic leasing of properties for FY28 and FY29 in several prime locations, and therefore we will continue to add supply for future. And you might see these momentary dips, but structurally our business continues to be negative working capital. Our receivable days are six days as you would have seen. That is a big strength of the company. And we continue to have a fair amount of float income as well in terms of the security deposits that we receive from our tenants.

Varun Julasaria: Okay, sure. Thanks, thanks, that's it.

Moderator: Thank you. The next question is from the line of Hitendra Pradhan from Maximal Capital. Please go ahead.

Hitendra Pradhan: Yes, hi sir, thanks for the opportunity. Just to zoom in on the capex granularity that you provided. Between refurb and new fit-outs, how does refurb capex compare with new fit-out capex? I mean new fit-outs are probably in the range of INR 1,500 or so, so how much do you spend on the refurb?

Neetish Sarda: No, so new capex is at INR 1,350 which then increases by 5% every year because of cost of inflation. The refurbishment capex is closer to about 15% of the initial capex that we do. That is an estimate 15% of the total value, so that whatever that number would be INR 1,400, INR 1,450, about 15% of that every three years is the refurbishment capex that we have built in. Approximately 5%.

Anirudh Tapuriah: And just to give you some context with respect to how it is also seasoned for us, if you look at Slide 52 of our Investor Presentation, our last year capex outflow was INR 388 crores. When you look at our footprint, our fiscal year '25 operational footprint was 8.1 million square feet.

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From there we matured to 10.1 million square feet by March '26. And then we are guiding for 2.5 to 3 million square feet of operational square foot addition this year. That is where the estimates which Neetish had shared earlier comes into play.

Hitaindra Pradhan: Okay, thank you.

Moderator: Thank you. The next follow-up question is from the line of Devang Patel from Sameeksha Capital. Please go ahead.

Devang Pat

el: The PP T mentions the share of IT and ITES in revenue is down to 35%. Within this, my question was what is the share of call centre s and have you seen impact on renewals from this particular segment because of AI?

Neetish Sarda: So, I do not think call centre s anyways contributed to significantly into our numbers. We do not classify it further below IT/ITES, so it is difficult for us to put that into context. But how I can maybe answer this question is that most of the customers who came to us had the opportunity of moving out, they ended up retaining with us, at least 74%(7) did. And even the ones which we did not retain, we were able to fill them up because our committed occupancy stands at 92%.

So, we do not have a classification below IT/ITES and how much is call centre s, we classify everyone under IT/ITES as well, but I don't believe that is going to be a significant number.

Anirudh Tapuriah : And Devang, just to give you some background with respect to how IT/ITES as a sector has behaved for us. Its contribution used to be around 44% in fiscal year '24. From 44 % it came down to 42 % in fiscal year '25. Further came down to 39 % in fiscal year ' 26, and in Q1 it stands at 35 %. So, we actually see a trajectory where sectors other than IT/ITES are growing at a faster rate compared to IT/ITES.

Devang Patel: Got it. Just a quick second question, as the share of GCCs is rising in our revenue, is the yield margin accretive and ROCE accretive for us? Is that already pulling up our ROCEs or you see that impact in future?

Neetish Sarda: Any client coming into the ecosystem will pulling up our ROCE, not just limited to GCCs. I think the demand coming in from all sectors, whether it 's engineering, manufacturing, it is value accretive. If you look at the price point at which Smartworks is selling, we are creating a significant amount of value for the customers also. That is why you will see that 1,000 plus seater cohort increasing meaningfully. So, it is not just limited to GCCs.

As I said earlier, the Smart V antage program and GCC margin expansion through services will still take about two to three quarters to start affecting our numbers because right now we are building out the offices for the GCCs that we have signed up. When they move in, start at occupying some of our other services, that is when you will see the services margin come in, but that has not started happening yet. We are still in the building out phase for most of the GCCs that we have signed up or we have just handed over the space, and the service revenue increment you'll see maybe after two to three quarters.

Devang Patel: The demand would be more at the premium end versus our rentals at INR 185. So, the demand would be at more premium end which allows us to have higher margins?

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Neetish Sarda: There is always opportunity for Smartworks to price up its product. If you look at our price point per seat, we are probably the industry leaders despite having a healthy margin of 19.6% this quarter. Our price at which we are able to sell to our customers is probably one of the most competitive in the markets. So yes, there is an opportunity to price it up further. I think the closest competitor is almost 10% to 15% higher than our numbers.

So, there is an opportunity for Smartworks to price up. But you also need to look at this with the volume of business that Smartworks is doing. 2.5 to 3 million square feet of addition is not something that anyone in the market is doing at this point, and we believe that both volume as well as value is going to help us achieve the projected number that we have done for the year.

Anirudh Tapuriah : And Devang, just to give you some context with respect to our pricing power as well, just adding to the point which Neetish mentioned, as I commented earlier it was INR 181 pe

r square foot

for mature capacity in Q1 FY27. If you just look at the same numbers in the previous fiscal, it used to be around INR 170 per square foot. So already there has been an increment of INR 11 per square foot in our mature capacity.

Devang Patel: Right, thank you so much.

Moderator: Thank you. The next follow-up question is from the line of Shamit Ashar from Ambit Capital. Please go ahead.

Shamit Ashar: So you are signing a lot of new properties with some institutional landlords in the last two or three quarters. So, are they coming in at better terms than what they were, let's say 12 to 18 months ago? Are you enjoying some benefits from the landlord side as well as you scale up?

Neetish Sarda: Absolutely. See our function of getting the preferred terms is because of the volume of deals that Smartworks is doing. If you look at some of the deals that we have announced, whether it was the Bombay acquisition in Vikhroli, these are some massive deals, one of the largest deals of office space in the country - Probably the top 10 largest deals. So, we are able to negotiate scale and get value.

I think with our size getting bigger and bigger and with the platform and its reach increasing significantly, we are seeing this value now being derived from institutional landlords also where they have seen our track record, they have seen how Smartworks has already grown to over 10 million square feet of operational footprint with some of the best clients backing and expanding with us, and that is where they also get the confidence that we are able to fill up those buildings fairly quickly.

Shamit Ashar: Got it. So, in the future, will there be more increased leasing from the institutional landlords versus the non-institution ones?

Neetish Sarda: I think it is very difficult to point out what the mix is going to be. If you ask us how we are projecting it to be, we think currently it stands at about 65% versus 35%. 65% towards non-institutional and 35% towards institutional. I think this is a healthy mix and we think that approximately the similar number is going to continue over the next few quarters or perhaps few years at least.

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Shamit Ashar: Right, thank you.

Moderator: Thank you. The next follow-up question is from the line of Murali Krishnan from Sundaram Mutual. Please go ahead.

Muralikrishnan: Yes hi, thanks again. So, sir just wanted to check, our peers are also increasing the VAS offerings. So, is this done to increase the attractiveness of our offerings and to make clients sticky with us? That's one question. And to continue on that, currently the VAS as a portion of revenue is limited, but how do we see the impact of it on the EBITDA margins evolving?

Neetish Sarda: No, absolutely, VAS as a percentage has significantly increased already. If you look at our numbers for the same quarter last year, non-lease rental revenue stood at INR 22 crores, which this quarter has already increased to over INR 68 crores. Most of this is driven through value-added services.

With Smartworks there are a lot of VAS services which are not one-time in nature, but they are regular. For example, the food programs that most of our customers have bought for their employees or some of the services on the building level that they have bought for their employees, while it might come under the other operating revenues, it is something which is repetitive in nature. With our base increasing, this will automatically increase in terms of numbers. It's already tripled even though our revenue has grown by 30%, the revenue from value-added services have grown, almost triple from INR 22 crores to INR 68 crores.

Just because of the number of seats occupied now, the base has increased significantly. And with the base increasing, you will see this number increase further. As far as our fo

cus on VAS, right

now it is very limited. We have only started focusing on VAS about three quarters back. There are only limited services.

So, there is an opportunity to increase it further. But we have not factored in any of that in our current projections for this year particularly, because most of it would be under pilot stages where we are trying other avenues to increase our margins. So, it is very difficult to project it, but you might see these numbers increase further depending on the pilots and what works for us and what doesn't.

Muralikrishnan: Thanks, sir. And on the EBITDA margins, will they be dilutive or will be able to pass on our expenses on these services? Yes, that would be my question here. Thanks.

Neetish Sarda: No sir, in terms of EBITDA margins it actually hits our bottom line directly, because most of the VAS services that we do are essentially on a take-rate basis where we go ahead, there is no expense on the books and we take a certain take-rate from the service providers. We are not the ones who are providing these services, we integrate with third-party suppliers to provide these services and we take a certain take-rate.

So, it is definitely going to be margin accretive, but it is very difficult to predict how much will it be in this year because we are still in the phase of completely launching our different verticals and different offerings in the VAS vertical.

Harsh Binani : And philosophically to add to Neetish, why we have become the largest is purely because our focus has been to scale our platform, get the best companies in India and the world to come, so annuity income and the quality of cash flows that it brings is already reflected in our P&L as well as balance sheet . There is very limited volatility and in spite of the heavy capex cycle, our margin as well as our ROCE continues to increase. So that is where the business will continue to grow and scale , and VAS will only be over and above and on top of that.

Moderator: All right. That was the last question for today. I now hand the conference over to the management for closing remarks. Over to you, sir.

Harsh Binani : Thank you all for joining us this evening and for a thoughtful discussion. For a deeper view of the quarter, the numbers behind the numbers, please do refer to our shareholder's letter and our Investor Presentation for more details. One year on from listing, the business is demonstrably better than it was earlier . Revenue, EBITDA margin, PAT and ROCE , all increased sequentially every quarter, even though a high capex cycle.

With a high forward visibility on revenue and our buildings for FY27 and FY28 already signed, the compounding is well underway and set to accelerate. We don't manage for the quarter; we are building for the decade. Thank you for your continued trust. Good evening again.

Moderator: On behalf of Ambit Capital, that concludes this conference. Thank you for joining us , and you may now disconnect your lines.

(This document has been edited for the purpose of readability)